

ABANS ELECTRICALS PLC
ANNUAL REPORT 2015-2016



Save The Planet
For Your Children
With
Renewable Energy

OUR VISION

ATTRACT AND RETAIN CUSTOMERS FOR LIFE

OUR MISSION

ALWAYS THERE TO SERVE YOU BETTER

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	2016 Rs.' 000	2015 Rs.' 000
Turnover	3,506,809	2,731,611
Profit/(Loss) Before Tax	140,348	100,001
Net Profit/(Loss) After Tax	98,310	88,429
Market Capitalization	567,783	540,186
As at 31st March		
Total Assets	2,017,289	1,620,858
Shareholder's Funds	777,973	692,440
Retained Earnings	589,141	503,608
Current Ratio (Current Assets: Current Liabilities)	1.23: 1	1.31: 1
Employment (No of Employees)	988	890
Per Share		
Earnings/(Loss) (Rs.)	19.34	18.34
Net Assets (Rs.)	152.23	135.49
Market Value (Rs.)	111.10	105.70

Financial Calendar

1 st Quarter Results 2015 / 2016	14 th August 2015
Annual Report 2014 / 2015	10 th August 2015
33 rd Annual General Meeting	03 rd September 2015
2 nd Quarter Results 2015 / 2016	13 th November 2015
3 rd Quarter Results 2015 / 2016	15 th February 2016
4 th Quarter Results 2015 / 2016	31 st May 2016
34 th Annual General Meeting	26 th September 2016

On behalf of the Directors, I warmly welcome Shareholders to the 34th Annual General Meeting of Abans Electricals PLC and have pleasure in presenting the Annual Report and Financial Statements of the Company for the period of 2015/2016.

Abans Electricals PLC as the leading home appliance manufacture in Sri Lanka, the highest priority has always been given by us for the environmental protection by producing innovative eco - friendly and energy saving products. Advanced and Innovative Inverter Technology is a leader in the best and most effective energy saving appliances with a wide range covering appliances that normally consume the highest amount of electricity at home such as Refrigerators, Air Conditioners and Washing Machines. We also lead the industry in Green Innovation and have leveraged on our design capabilities to manufacture energy efficient products whilst placing equal importance on minimizing the adverse environmental impacts of our production process. In view of a favorable operating environment, Abans Electricals PLC proposes to invest in enhancing its production capacity and is committed to support in changing lifestyles of Sri Lankan Consumers with products which incorporate advanced technology and more environmentally sustainable features.

The growing trend in Sri Lanka is the "Green Building" Concept and we have approached most of the commercial projects with Solar PV System. A "Green Building" is one which optimizes the energy efficiency, conserves natural resources, generates less waste, uses less water and provides healthier space for Occupants as compared to a Conventional Building. Green Building also attempts to work towards on-site energy generation through renewable energy utilization to cater to its energy needs. For instance, Solar PV Panels can help to generate electricity which can reduce the Building's dependence on grid power.

Substantial improvements have been recorded in building up a green environment by installing Solar PV Systems (Net Metering) during the period. As the most Innovative and Best Service Provider, we have undertaken several larger projects for Solar PV Systems. Our Engineering Team with their expert knowledge and advanced technology has experience in handling Government, Industrial and Domestic Solar Projects to ensure reliable and high quality solar power solutions at a low cost. Further, our Solar Systems are offered with superior benefits such as comprehensive long term warranties, cost effectiveness, protection against lightning and excellent after sale service. Over the year, we have won the confidence and loyalty of exclusive collection of Customers with a genuine concern to reduce electricity cost and contribute towards the greener tomorrow.

As mentioned in the prior year reviews, we have introduced a new generation of Refrigerators using R600a gas. This gas does not result in global warming and has no impact on ozone depletion. It is also the best for Consumers since it has very large saving on electricity. As a result, this is not only a giant leap for our Company, but for the Country too. It saves millions of rupees in terms of energy and electricity cost to the Country and helps to save the environment as well. We are committed to enhance our product capabilities to

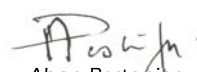
deliver a range of products ideally suited for the changing needs of our Customers. We have established new Service Centers Island wide in order to rectify breakdowns & to provide better services to our Customers whilst building relationships.



Further, the performance of the Manufacturing Section is complemented due to increase in Inverter Air Conditioner & Washing Machine production. Our Air Conditioner incorporates a revolutionary inverter technology that produces powerful yet silent performance by minimizing energy consumption within the range of 40% to 60%. New Inverter Air Conditioner series was introduced by replacing the Aluminium Tubing Condenser with high durable Copper Tubing Condenser. In addition to that, we have introduced another new Inverter Air Conditioner series which has a device for generating ultrasonic wave that makes inaudible ultrasonic wave which will affect Mosquito's nerve system or even prevent from Mosquitoes and protects the Consumer.

Moreover, Service Department has achieved a considerable growth in business with dynamic fund management process in the year 2015/2016. Accordingly the Service Department has invested in Fixed Deposits more than Rs. 40 Mn and invested over Rs. 30 Mn on Lands without having any external fund borrowings at the year ended 31st March 2016. After Sales Service is the key to success and island wide Customer Service Centers have performed significantly by increasing their Revenue and Profits. Our Service Call Center Operation was re-established and connected to the In-house Operation. Company is expecting to have a rapid dynamic customer service by re-establishing the call center as a part of In-house Operation Management. We have identified our strengths and used it in a better manner for the growth of the business. In the meantime, the opportunities and threats that will affect the business have also been identified and strategies have been formulated to enhance the growth of the business.

I take this opportunity to express my appreciativeness for our team, all the fellow Directors and all our staff for their contribution and commitment. They have delivered an all-round performance by addressing financial, social and environmental aspects of the operation which has had a positive impact on all Stakeholders. I also express my sincere gratitude to all the Shareholders for their trust and confidence in the present governance.


Aban Pestonjee
Chairperson

Board of Directors

Mrs. Aban Pestonjee – Chairperson

A resourceful and self-taught entrepreneur, Mrs. Pestonjee has come to exemplify the Abans' creed of "finding a need and fulfilling it". Her passion, drive and courage, especially as a South Asian woman in a then male dominated business world has inspired successive generations of Sri Lankan Business women and have won her the praise of many others. She continues in the role of Chairperson of Abans Group of Companies.

Mrs. Pestonjee has been awarded;
SAARC Women's Association - Sri Lanka Chapter – "Award of Excellence for Woman Achievers for Outstanding Achievement" – Year 2000.

"The Bronze Award" for the large Business Category by Women's Chamber of Industry & Commerce at the year 2000 Women Entrepreneurs of the Year Award Ceremony.

"KOTRA Plaque of Appreciation - 2005" for forging strategic foreign economic ties between Korea & Sri Lanka.

Culminating in 2006, she received international recognition for winning the leading women entrepreneur of the world award. Mrs. Pestonjee was awarded the prize by the princess of Thailand.



Mr. Behman. Pestonjee - Director

Marine Engineer Class 1 (D.O.T. London) A total dynamo, his creed of "conceived today, implemented with phone calls" has been a key contributor to the rapid success of this company.

He heads the marketing and Sales Divisions of the Company and liaises with the key principles of important institutions.

An inspiring leader for a talented and dedicated group of marketing and sales personnel, the results of Mr. Pestonjee's expertise are evident in the rapidly increasing turnover and brand recognition of the Abans name.



Dr. (Mrs) Saroshi Dubash - Director

Holds a Honours degree in Chemistry (London), MBA (USA), Phd.
She is currently the chairperson of Industry and commerce of Sri Lanka and representative on the Ceylon Chamber of Commerce main Board. She is also a member of the institute of Directors. A Director of Abans PLC and other Group Companies.

Within the group, Mrs. Dubash is chiefly involved in administering the supply chain functions of import purchasing, wharf clearance, warehousing, inventory control, distribution and information systems.

Retail Accounts and Hire Purchase Departments also come under her purview.

Flexible, hard-working employees have long been Mrs. Dubash's main aides and as a result, she oversees the Training Department to ensure the continuous training and development of quality Abans employees.

Her major projects currently include sourcing a 3PL partner, introducing an ERP system for the Abans PLC channel and spearheading other e-commerce initiatives, most recent of which is buy abans.com, the online retail arm of Abans PLC. She is supported by an excellent, hard-working senior administrative network.



Board of Directors



Mr. Clive. A. Fernando - Director

Holds a Master degree in Mechanical Engineering, State University of Moscow. In direct charge of the Abans Electricals, he has put his previous experience and expertise to good use in rapidly benchmarking the best business practices in the manufacturing and assembly areas, which are the main focus of this company. The Company has, therefore, benefited by the rapid implementation of these assembly line factories, which have helped maintain competitive price advantage. He has maximised the potential of the Central Air Conditioning Division and acquired many prestigious corporate projects.



Mr. Allen Raffel - Director

Working closely with the senior partners from the inception of the company, he leads the Service Department of the Company. His ability to cope with pressure has served him well in managing the very challenging area of this department. The decentralized structure and outsourcing business model of the Service and Repair Centres of Abans are two areas currently under his purview.



Prof. Lakshman R. Watawala - Independent Non Executive Director

Appointed to the board in August 2007. He is a fellow of the Institute of Chartered Accountants of Sri Lanka, a fellow of the Institute of Certified Management Accountants of Sri Lanka and a fellow of Chartered Institute of Management Accountants of U.K. He has held the position of Chairman and Managing Director of Board of Investment of Sri Lanka twice and also served as the Chairman of People's Bank, People's Merchant Bank, Pan Asia Bank Ltd and other State Corporations. He has served as an Advisor of the Ministry of Finance. He was a Past President of the Institute of Chartered Accountants of Sri Lanka, South Asian Federation of Accountants, Founder President of AAT Sri Lanka and Organization of Professional Associations of Sri Lanka. Currently, he is a committee Member of Ceylon Chamber of Commerce, President of the Institute of Certified Management Accountants of Sri Lanka, and serves on the Boards of a number of Quoted Public Companies.



Mrs. D. Priyanthi Pieris - Independent Non Executive Director

Appointed to the board in March 2009. She is an Attorney-at-Law of the Supreme Court of Sri Lanka and has over 33 years experience in Corporate and Financial Law. She is also a Solicitor of England & Wales. She is currently in Private Practice. She served on the Boards of Forbes & Walker Ltd., Forbes Ceylon Ltd., Forbes Stock Brokers Ltd, Forbes Air Services Ltd.(general sales agent for Emirates), Vanik Corporate Services Ltd., Office Network (Pvt) Ltd., Capital Reach (Holdings) Ltd. and Associated Motorway Ltd She currently serves on the Boards of Associated Electrical Corporation Ltd, Asia Asset Finance PLC, Lanka Orix Finance PLC, PW Corporate Secretarial (Pvt) Ltd., Asian Centre for Lease Education (Pvt) Ltd., MTN Corporate Consultants (Pvt) Ltd., Sithijaya Fund (Pvt) Ltd and as an Alternate Director on the Board of Asia Capital PLC. She served as the legal Adviser to the Ministry of Finance from 2002 – 2004 and as Legal Consultant to the Colombo Stock Exchange from 2004 – 2011. She is also a member of the Committees set up by the SEC to recommend amendments to the Takeovers & Mergers Code 1995 (as amended) and the Rule for Corporate Governance.

The Directors of Abans Electricals PLC have pleasure in presenting their Report and Audited Accounts for the year ended 31st March 2016 at the Thirty fourth Annual General Meeting.

Financial Review

Principal Activities

The Principal activities of the Company are manufacturing and assembling of household electric and electronic appliances and providing repair and maintenance services for the same under two departments.

(a) Manufacturing Department

This Department was set up primarily for the manufacturing and assembling of household electric and electronic appliance in collaboration with internationally recognized brand names.

It engages in the assembling and manufacturing of LG Washing Machines, LG Refrigerators, Water Geysers, Air Conditioners, Cookers & Solar PV systems Installations.

(b) Service Department

This Department handles the installation, repair, maintenance and after sales services of electrical and household appliances sold by Abans Group.

Review of Operations

The Chairperson's Statement on Page No 3 in this Report contains a detailed review of the operations which forms an integral part of the Directors Report.

Summarised Financial Position

	2015/2016 Rs.'000	2014/2015 Rs.'000
Profit/(Loss) Before Tax	140,348	100,001
Income Tax Saving/ (Expense)	(41,525)	(6257)
Profit/(Loss) After Tax	98,823	93,744
Profit Available for Appropriation	589,141	503,608
Ordinary Dividend Per Share	3.00	2.50

Risk Management

The Board evaluates and takes action to mitigate the foreseeable risks on essential grounds. The mitigation process concentrates on product diversification, market segmentation, bringing new innovations and productivity improvement.

A brief discussion on Enterprise Risk Management is given on Page No 39 & 40 of the Annual Report.

Capital Expenditure

The total expenditure on acquisition of Property, Plant and Equipment during the year amounted to Rs. 100,522,536/- and detail of the status and movements of Property Plant and Equipment during the year are given in Note 12 to the Financial Statements.

Land and Buildings

Location, extent, no of buildings and present market values of the land and buildings.

Land Location Building Rs.	No. of Perches	Market value
Wellawatte	2 39.58	201,250,000
Ratmalana	3 97.21	63,962,000
Panadura	- 36.5	37,063,500
Kandy	1 18.7	71,828,000
Boralesgamuwa	- 33	41,605,000
Negombo	1 31	25,813,500

Donations

Donations made during the year is Rs.405,207/- (Rs. 295,975/-, 2014/2015)

Employees

As at the Balance Sheet date 988 persons were employed by the Company (890 persons -2015). The total cost of employee benefits for the year was Rs. 454.58 Million. (Rs. 394.9 Million – 2014/2015). There were no employee related issues to be disclosed, other than Note 34 to the Financial Statements.

Events Subsequent to the Balance Sheet Date

There had not been any circumstances since the Balance Sheet date, which would require adjustments to or disclosure in the Accounts other than those disclosed in Note No 35 to the Financial Statements.

Statutory Payments

The Directors, to the best of their knowledge are satisfied that all statutory payments due to employees and the Government have been made up to date.

Dividends

The Directors recommend a final dividend of Rs. 3.00 per share for the Financial Year ended 31st March 2016.

Directorate and Shareholdings

The Board of Directors comprising of Mrs. Aban Pestonjee (Chairperson), Dr. (Mrs.) Saroshi Dubash, Mr. Behman Pestonjee, Mr. Allen Raffel, Mr. Clive Fernando, Prof. Lakshman R. Watawala and Mrs. Dayangani Priyanthi Peiris held office throughout the year ended 31st March 2016.

The Directors retiring in rotation in terms of the Articles of Association are Dr. (Mrs.) Saroshi Dubash and Mr. Behman Pestonjee and being eligible, they offer themselves for re-election and the Directors have much pleasure in recommending their re-election.

Name	Beginning of the Year No. of Shares	End of the Year No. of Shares
Mrs. A. Pestonjee	293,438	293,438
Mr. B. Pestonjee	144,703	144,703
Frist Capital Markets Ltd/Mr. B Pestonjee	90	90
Dr. (Mrs.) S. Dubash	295,820	295,820
Mr. A. Raffel	5,040	5,040
Mr. C. A. Fernando	2,223	1,223
Prof. Lakshman R. Watawala	-	-
Mrs. Dayangani Priyanthi Peiris	-	-

Directors' Interests

The Directors' Interest in Contracts of the Company are included in Note 33 to the Financial Statements. The Directors have made self-declarations for the purpose of identifying parties related to them. The Directors have no direct or indirect interest in any other contract or proposed contract of the Company. The Company is in compliance with Rule.09 of the Listing Rules of the Colombo Stock Exchange pertaining to Related Party Transactions, during the financial year.

Auditors

To appoint M/s. SJMS Associates, Chartered Accountants as the Auditors of the Company and to hold office until the conclusion of the next Annual General Meeting.

Reports to the Public

The Company publishes its quarterly Financial Statements and Annual Report, enabling Stakeholders and public to make a fair appraisal of performance.

By Order of the Board,

Sgd

Vaners International (Private) Limited

Secretaries

Colombo

The Board*** Composition and Balance**

The Board consists of seven Directors including two independent Non - Executive Directors. The brief profiles of the Board members are given in Page No. 4 and 5 to the Annual Report.

*** Responsibility**

The Members of the Board are collectively and individually responsible to comply with laws of the Democratic Socialist Republic of Sri Lanka and to implement business strategies, internal controls, risk management, corporate decisions, financial reporting and other imperative issues as necessary.

Directors bring individual and collective judgments and also consider internal and external professional consultancy for matters relating to corporate issues, strategies, performance, setting up standards, managing and safeguarding resources.

*** Chairperson and the Chief Executive Officer (CEO)**

The Chairperson is responsible for leading the Board and the ultimate point of contact for Shareholders, particularly on matters relating to Corporate Governance.

The responsibilities of the CEO are assigned to two individual Directors who do not hold the position of Chairperson. They control and separately report to the Board under two divisions, Manufacturing and Services.

*** Appointments / Re-Election**

The Board as a whole represents the Nomination committee and decides on the selection criteria and appointments to the Board. Evaluation criteria are set based on the goals and objectives of the company and suitable and capable persons who can contribute to the Company are selected.

Procedure in the Articles of Association is mandatory for the retirement and re-election of Directors.

*** Directors' Remuneration**

With the recommendations of the Remuneration Committee, the Company has established a formal and transparent policy to determine remuneration packages for each Director to attract, motivate and retain.

The remuneration and other benefits of the Board of Directors are set out in No 33 to the Financial Statements.

*** Appraisal of Board**

The Board itself headed by the Chairperson evaluates performance giving due regard to the external and internal environment to measure the degree of success or the failures of achieving goals and objectives set upon Board members, individually and collectively.

*** Financial Acumen**

A Member representing a recognized professional accounting body served on the Board as an independent Non-Executive Director and was involved

in matters relating to finance. External consultants were retained whenever necessary.

*** Audit Committee**

The Audit Committee has written terms of reference which are established for the purpose of assisting the Board in fulfilling their responsibilities connected to the integrity of the Financial Statements, risk management, internal control, compliance with legal and regulatory requirements, review of External Auditor's performance and internal Audit functions. Report of the Audit Committee is given on Page No. 11.

*** Remuneration Committee**

The objective of the Committee is to bring recommendations to the frame-work of the remuneration packages of the Directors in a formal and transparent manner. Report of the Remuneration Committee is given on Page No. 12.

*** Related Party Transactions Review Committee**

The Company formed a 'Related Party Transactions Review Committee' with effect from 01st January 2016 in terms of Rule 9.2 of the Listing Rules of the Colombo Stock Exchange.

The objective of the committee is to assist the Board in reviewing all related party transactions by adopting policies and procedures in accordance with requirements of the code of best practice on Related Party Transactions issued by the Colombo Stock Exchange.

Related Party Transactions Review Committee Members	Executive	Non-Executive	Independent
Ms. Dayangani Priyanthi Pieris	-	✓	✓
Prof. Luxman Ravendra Watawala	-	✓	✓
Mr. Clive Fernando	✓	-	-

The Related Party Transactions Review Committee Report is given on page no. 13 of this Annual Report.

*** Secretaries**

Varners International (Pvt) Ltd., act as the Company Secretaries, ensure the adherence to rules and regulations and handle Board proceedings minutes, agenda and papers required for the meetings.

*** Relation with Shareholders / Investors**

Directors have continuously recognized the importance of the role played by the Shareholders of the Company in assisting the Board of Directors for good Corporate Governance. In this regard, the Board of Directors ensures that the Shareholders have equal access to information and ensured the adequate disclosure of all material information of the Company.

* **Major Transactions**

There were no major transactions of material effect other than those which are disclosed in the Annual Report.

* **Financial Reporting**

The Company adhered to the financial reporting regulations under the Companies Act, listing rules of the Colombo Stock Exchange and the Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka.

The Audit Committee assists the Board in overseeing the financial reporting, system review and implementation of proper internal control systems.

The Board abides by the onus of responsibility of setting up an effective internal control system to safeguard the assets of the Company and to disseminate timely corporate information.

* **Business Conduct and Ethics**

The Company adheres to the code of business conduct and ethics jointly issued by the institute of Chartered Accountants of Sri Lanka and the Securities and Exchange Commission of Sri Lanka for Corporate Governance. The business conduct ethics and Company Policies are set within the said governing rules and regulations to the best of the knowledge of the Directors.

* **Going Concern Concept**

The Board of Directors have continued to use the going concern concept in the Preparation of the Financial Statements and are of the view that the Company has adequate resources to continue its operations in the foreseeable future.

* **Meetings**

Name of the Director	Position	Board Meetings	Audit Committee Meetings	Remuneration Committee Meetings	Related Party Transactions Review Committee
Mrs. Aban Pestonjee	Director / Chairperson	0	N/A	N/A	N/A
Mr. Behman Pestonjee	Executive Director	3	N/A	N/A	N/A
Mr. C. Fernando	Executive Director	4	2	2	-
Mrs. Saroshi Dubash	Executive Director	2	N/A		N/A
Mr. Allen Raffel	Executive Director	4	2	2	N/A
Prof. L.R. Watawala	Independent Non-Executive Director	3	3	2	-
Mrs. Priyanthi Pieris	Independent Non-Executive Director	2	2	N/A	-

* The first meeting of Related Party Transactions Review Committee was held on 30th May 2016

Compliance with Corporate Governance

The Board of Directors comply with the rules of Corporate Governance

Rule	Subject	Compliance
7.10.1	Non-Executive Directors	
	a. No of Non-Executive Directors	Two Non-Executive Directors out of seven Directors
7.10.2	Independent Directors	
	a. No of Independent Non-Executive Directors	Two Independent Directors out of seven total Directors
	b. Declaration of Independency	Complied
7.10.3	Directors Disclosure	
	a. Determination of independency of Non-Executive Directors	Complied
	b. Names of Independent Non-Executive Directors	Refer Page No. 5
	c. Brief resume of each Director	Refer Page No. 4 - 5
	d. Disseminate resume of new Directors	Complied
7.10.4	Independency of Non-Executive Directors	Complied
7.10.5	Remuneration Committee	
	a. Composition	Refer Page No. 12
	b. Functions	Complied
	c. Members name of the Remuneration Committee	Refer Page No. 12
	d. Statement of Remuneration Policy	Refer Page No. 12
	e. Remuneration paid to Executive and Non-Executive Directors	Refer Note No. 33
7.10.6	Audit Committee	
	a. Composition	Refer Page No. 11
	b. Functions	Complied
	c. Name of committee members	Refer Page NO. 11
	d. Determining of Independency of Auditors	Complied
	e. Audit Committee Report	Refer Page No. 11
7.10.7	Intercompany Transactions Review Committee	
	a. Composition	Refer Page No. 13
	b. Functions	Complied
	c. Name of the committee members	Refer Page No. 13
	d. Related Party Transactions Review Committee Report	Refer Page No. 13

Role of the Committee

The primary function of the Committee is to assist the board in fulfilling its oversight responsibilities, primarily through overseeing Management's conduct of the Company's financial reporting process and systems of internal accounting and financial controls. Monitoring the independence and performance of the Company's External Auditors and providing avenue of communication among the External Auditors, Management and the Board.

The Audit Committee is empowered, amongst other functions to examine any matters relating to the financial affairs of the Company and to review the adequacy of the internal control procedures, audit programs, disclosures of accounting policies compliance with statutory and Corporate Governance requirements etc. The Audit Committee is also empowered to review and monitor the financial reporting process of the Company, so as to provide additional assurance on the reliability of the Financial Statements through a process of independent and objective reviews. As such, the Audit Committee acts as an effective forum in assisting the Board of Directors in discharging their responsibilities of ensuring the quality of financial reporting and related communications to the Shareholders and the public.

Composition of the Committee and meetings

The Audit Committee comprised of two Independent Non - Executive Directors namely Prof. Lakshman R. Watawala - Chairman and Mrs. D. Priyanthi Pieris. Messrs. Varners International (Pvt) Ltd served as the secretary to the Audit Committee.

The Audit Committee held four meetings during the financial year. Chief Internal Auditor coordinate the matters arise at the meetings. Other Directors, Managers, Compliance Officers, External Auditors Consultants attend the meetings by invitation.

The activities and views of the Committee have been communicated to the Board of Directors quarterly through verbal briefings, and by tabling the minutes of the Committee's Meetings.

Financial Reporting

The Audit Committee has reviewed and discussed the Company's quarterly and Annual Financial Statements prior to publication with management including the extent of compliance with Sri Lanka Accounting Standards, Companies Act No 7 of 2007, Securities Exchange Commission regulatory and other statutory requirements.

The Financial Statements have been presented in compliance with the new Sri Lanka Accounting Standards (SLFRS/LKAS) for the financial period. Considerable effort and planning has gone into ensuring that this transition has taken place smoothly and accordingly the comparative financial Statements were re-stated.

The ultimate objective of the Committee is to ensure the safeguard of the best interest of the stakeholders on to financial reporting.

Internal Controls

During its meetings the Committee reviewed the adequacy and effectiveness of the internal control systems and the Company's approach to its exposure to the business and financial risks. Processes are in place to safeguard the assets of the organization and to ensure that the financial reporting system can be relied upon in the preparation and presentation of Financial Statements.

The Company's exposure to business risk, in the areas of product diversification, Market share, Tariff changes and exchange rate and interest rate fluctuations is reviewed by the Committee and advice the board and Management to mitigate the risk factors associate there with.

Under the financial risk, Committee scrutinizes the credit policies of the creditors and debtors and liquidity of current assets. The cash flow and the working capital adequacy also reviewed in addition.

Internal Audit, Risks Management

The Internal Audit Programme was reviewed by the Committee to ensure that it covered the major business units of the Company. The Chief Internal Auditor was invited to be presented at all Audit Committee deliberations. He presents a summary of the Audit Reports of all internal audit investigations carried out by his department for the period.

External Auditors

The committee evaluates the independency of the External Auditor and recommends to the board in selecting and appointing External Auditor. In addition, other major criteria for evaluating external auditor includes capacity, fee, past performances and Non-Audit Services provided by the External Auditor.

The Audit opinion and the management letter issued by the external auditor are reviewed and assessed to ensure the material impact to the true and fair view of the Financial Statements.

The audit committee has recommended to the Board of Directors that Messers SJMS Associates be re-appointed as Auditor for the financial year ending 31st March 2016 subject to approval of the Shareholders at the Annual General Meeting.

Conclusion

The evaluation of reports, and based on the independent judgment, the Committee is satisfied about the operation of the business activities, control procedures, reporting requirements, actions in place of safe guarding the Company Assets and financial reporting of the Company.

Prof. Lakshman R. Watawala
Chairman - Audit Committee

Composition

The Remuneration Committee appointed responsible to the Board of Directors, comprise of two Independent Non-Executive Directors. The Committee is headed by the Chairman Prof. L. R. Wattawala. Mrs. Priyanthi Pieris serve as a Committee member.

Policy

The remuneration policy of Abans Electricals PLC is designed to attract, motivate and retain staff with appropriate professional, managerial and operational expertise to achieve the goals and objectives of the Company.

Scope

The principal responsibility of the Remuneration Committee is to recommend to the Board a competitive remuneration and reward structure for the organization which includes performance based incentives. The Committee will specifically focus on the remuneration packages for Executive Staff and Senior Management. Such a system is based upon every member of the staff, being informed of the key result areas on which he/she will be judged together with an objective performance evaluation system.

Meetings

During the financial year under review, the Committee held two meetings. At these meetings, the staff performance appraisal system and its procedures, the performance bonus and its quantum, remuneration and other benefits of Executive and Senior Management were discussed and their recommendations were submitted to the Board.

Conclusion

The Committee assessment on the present Directors remuneration is fair and reasonable.

Prof. Lakshman R. Watawala

Chairman – Remuneration Committee

The Related Party Transactions Review Committee of the Company was established by the Board on 10th March 2016 to be effective from 1st January 2016, in accordance with Section 9 of the Listing Rules (Rules) of the Colombo Stock Exchange to ensure compliance with those Rules thereby enhancing the Company's internal control mechanisms.

Composition of the Committee

As at 31st March 2016, the Related Party Transactions Review Committee comprised of the following Directors:

Ms. Priyanthi Pieris	- Independent Non-Executive Director / Chairperson
Prof. L. Watawala	- Independent Non-Executive Director
Mr. Clive Fernando	- Executive Director

Varners International (Private) Limited, the Company Secretaries functions as the Secretaries to the Committee.

Purpose of the Committee

The purpose of the Committee is to conduct an independent review, approval and oversight of all Related Party Transactions of Abans Electricals PLC and to ensure that the Company complies with the Rules. Its Primary Objectives are to ensure that the interest of the shareholders as a whole are taken in to account when entering in to related party transactions, and to prevent Directors, Key Management Personal or Substantial Shareholders from taking advantage of their positions.

Scope of the Committee includes:

- To manage relationships with related parties to uphold good governance and the best interests of the Company
- To provide an independent review, approval and oversight of Related Party Transactions (except those expressly exempted by the Rules)
- To determine whether Related Party Transactions that are to be entered into by the Company require the approval of the Board or Shareholders of the Company;
- To establish guidelines in respect of Recurrent Related Party Transactions, for senior management to follow in its ongoing dealings with the relevant related party.
- To ensure that no Director of the company shall participate in any discussion of a proposed Related Party Transaction for which he or she is a related party, unless such Director is requested to do so by the Committee for the express purpose of providing information concerning the Related Party Transaction to the Committee.
- To ensure that immediate market disclosures and disclosures in the Annual Report as required by the Rules are made in a timely and detailed manner.

Policies and Procedures

The Company has in place a Related Party Transaction Policy whereby the categories of persons/entities who shall be considered as "Related Parties" have been identified.

Related Party Transactions during the period from 1st January 2016

The first meeting of the Committee was held on 30th May, 2016. All the members attended the Meeting. The Committee at the meeting, reviewed possible related party transactions for the year 2015/2016. It was observed that all related party transactions entered during the year were of a recurrent, trading nature and were necessary for the day-to-day operation of the Company, and in the opinion of the Committee, the terms were not favourable to the related party than those generally available to the public.

Declaration

A declaration by the Board of Directors on compliance with the Rules pertaining to related party transactions appears on the report of the Board of Directors on page no. 08 of this Annual Report.

Ms. Priyanthi Pieris

Chairperson - Related Party Transactions Review Committee

12th August 2016

The responsibility of the Directors in relation to the Financial Statements is set out in the following statement.

The Directors are responsible, under Sections 150 (1), 151 (1), 166[1], 167 [1] and 168 [1] of the Companies Act No. 7 of 2007 to prepare Financial Statements and the Annual Report for each financial year and place before the Annual General Meeting of the Members.

Financial Statements for the year ended 31st March 2016 presented in this report are in conformity with Sri Lanka Accounting Standards (SLFRS / LKAS), Companies Act No.7 of 2007 and listing rules of the Colombo Stock Exchange.

Directors are also of the view that in preparing these Financial Statements, appropriate Accounting Policies have been selected and applied consistently, where necessary reasonable and prudent judgment and estimates have been made in line with Accounting Standards.

Directors are also responsible, under Section 148 to keep proper records and to take reasonable steps as far as practicable to ensure the accuracy and reliability of accounting records to enable the preparation of Financial Statements and to disclose with reasonable accuracy, the financial position of the Company.

The Directors have a general responsibility to take reasonable steps to safeguard the assets of the Company. In discharging this responsibility the directors have instituted a system of internal controls and a system for monitoring its effectiveness. The systems of controls provide reasonable and not absolute assurance of safeguarding the Company's assets, maintenance of proper accounting records and the reliability of financial information.

Directors confirm that to the best of their knowledge all taxes and duties payable on behalf of and in respect of the employees of the Company and all other known statutory dues, as at Balance Sheet date have been paid or provided.

The Directors are of the opinion that the Company has adequate resources to continue in operation and due to this have concluded that the going concern basis in preparing the Financial Statement is appropriate.

By Order of the Board

Sgd ,

Vaners International (Private) Limited.

Secretaries

Independent Auditor's Report To the Shareholders of Abans Electricals PLC

Report on the Financial Statements

We have audited the accompanying financial statements of Abans Electrical PLC, ("the Company"), which comprise the statement of financial position as at 31st March 2016, and statement of comprehensive income, statement of changes in equity and, statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Board's Responsibility for the Financial Statements

The Board of Directors ("Board") is responsible for the preparation of these financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as Board determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Sri Lanka Auditing Standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by Board, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

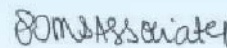
Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31st March 2016, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we state the following:

- a) The basis of opinion and scope and limitations of the audit are as stated above
- b) In our opinion:
 - we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company,
 - the financial statements of the Company, comply with the requirements of section 151 of the Companies Act



SJMS ASSOCIATES
Chartered Accountants
Colombo

29th July 2016

Statement of Comprehensive Income

For the Year Ended 31st March 2016

	Note	2015/2016 Rs.	2014/2015 Rs.
Revenue	5	3,506,809,241	2,731,611,106
Cost of sales		<u>(3,027,411,655)</u>	<u>(2,344,255,668)</u>
Gross profit		479,397,586	387,355,438
Other income	6	40,290,408	55,701,954
Distribution cost		(99,320,984)	(88,893,624)
Administrative expenses		(239,409,353)	(223,047,200)
Finance and other expenses	7	<u>(40,609,179)</u>	<u>(31,115,745)</u>
Profit before taxation	8	140,348,478	100,000,824
Income tax expenses	9	(41,525,040)	(6,256,620)
Profit for the year		<u>98,823,438</u>	<u>93,744,203</u>
Other comprehensive income / (expense)			
Actuarial loss on defined benefit plan	23	(513,706)	(5,314,251)
Other comprehensive income / (expense) net of tax		<u>(513,706)</u>	<u>(5,314,251)</u>
Total comprehensive income for the year		<u>98,309,732</u>	<u>88,429,952</u>
Earnings per share - Basic/ Diluted	10	19.34	18.34
Dividend per share	11	3.00	2.50

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

Statement of Financial Position

For the Year Ended 31st March 2016

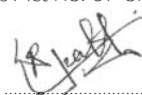
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Abans Electricals PLC
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	Note	31.03.2016 Rs.	31.03.2015 Rs.
Non current assets			
Property, plant and equipment	12	572,881,462	541,111,420
Intangible assets	13	12,735	17,567
Investments in subsidiaries	14	11,454,000	11,454,000
Investments in fixed deposits	15	119,907,426	73,039,864
		<u>704,255,624</u>	<u>625,622,851</u>
Current assets			
Inventories	16	435,882,590	296,571,713
Trade and other receivables	17	98,231,328	71,947,733
Deposits, advances & prepayments	18	18,402,949	20,580,863
Income tax receivable	27	-	7,896,156
Amounts due from related parties	19	727,634,815	520,972,307
Cash and cash equivalent	20	32,882,564	77,266,311
Total current assets		<u>1,313,034,246</u>	<u>995,235,082</u>
Total assets		<u><u>2,017,289,869</u></u>	<u><u>1,620,857,933</u></u>
Capital and reserves			
Stated capital	21	186,732,000	186,732,000
Capital reserves		2,100,000	2,100,000
Retained earnings		589,141,128	503,607,795
Total equity		<u>777,973,128</u>	<u>692,439,795</u>
Non current liabilities			
Borrowings	22.1	28,056,000	46,512,000
Retirement benefit obligation	23	101,890,133	86,752,528
Revenue grant	24	2,153,651	5,384,126
Deferred tax liability	25	40,455,796	32,804,764
Non current liabilities		<u>172,555,580</u>	<u>171,453,417</u>
Current liabilities			
Trade and other payables	26	448,488,461	330,668,715
Income tax payable	27	24,528,197	-
Deferred service income	28	37,380,094	11,494,714
Amounts due to related parties	29	24,424,887	53,194,068
Borrowings	22.2	531,939,521	361,607,225
Current liabilities		<u>1,066,761,161</u>	<u>756,964,721</u>
Total equity and liabilities		<u><u>2,017,289,869</u></u>	<u><u>1,620,857,933</u></u>

I certify that these financial statements comply with the requirements of the Companies Act no. 07 of 2007.



Head of Finance - (Manufacturing Department)

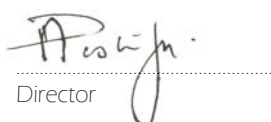


Head of Finance - (Service Department)

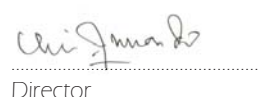
The Board of Directors are responsible for the preparation and presentation of these financial statements.

Signed for and on behalf of the Board of Directors by the following.

Date : 29th July 2016
Colombo



Director



Director

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

Statement of Changes In Equity

For the Year Ended 31st March 2016

	Stated Capital Rs.	Capital Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 st April 2014	186,732,000	2,100,000	447,977,608	636,809,608
Prior year adjustments (Note A)	-	-	(20,023,365)	(20,023,365)
Restated balances as at 1 st April 2014	<u>186,732,000</u>	<u>2,100,000</u>	<u>427,954,243</u>	<u>616,786,243</u>
Net profit for the year	-	-	93,744,203	93,744,203
Other comprehensive income	-	-	(12,776,400)	(12,776,400)
Final dividend 2013/2014	-	-	(5,314,251)	(5,314,251)
Balance as at 31 st March 2015	<u>186,732,000</u>	<u>2,100,000</u>	<u>503,607,795</u>	<u>692,439,795</u>
Net profit for the year	-	-	98,823,438	98,823,438
Other comprehensive income	-	-	(513,706)	(513,706)
Final dividend 2014/2015	-	-	(12,776,400)	(12,776,400)
Balance as at 31 st March 2016	<u><u>186,732,000</u></u>	<u><u>2,100,000</u></u>	<u><u>589,141,128</u></u>	<u><u>777,973,128</u></u>

Note A - Prior year adjustments refers to under provided deferred tax due to error in tax base calculation in past years

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

Cash Flow Statement

For the Year Ended 31st March 2016

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Abans Electricals PLC
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	2015/2016 Rs.	2014/2015 Rs.
Net profit before interest and taxation	180,957,657	131,116,569
Adjustment for:		
Actuarial loss on defined benefit plan	(513,706)	(5,314,251)
Profit from sale of property, plant & equipment	(2,880,170)	(2,301,781)
Depreciation	65,597,953	64,072,467
Defined benefit plan costs (Gratuity)	22,345,447	22,863,340
Interest income	(7,095,730)	(8,478,800)
Bad debts provision	1,702,057	749,577
Provision for obsolete stock	-	950,083
Asset grant income	(3,230,475)	(3,230,475)
Deferred income	(17,468,705)	(3,478,396)
Cash flow from operating activities before working capital changes	239,414,329	196,948,334
(Increase) in receivables	(27,985,642)	(10,346,062)
(Increase) / decrease in deposits	9,177,914	(5,089,837)
(Increase) / decrease in inventories	(139,310,877)	63,247,347
(Increase) in amounts due from/to related companies	(242,431,688)	(38,786,941)
Increase / (decrease) in accounts payable	388,296,246	(18,452,628)
Net cash and cash equivalent from operating activities	227,160,282	187,520,214
Tax paid	(1,000,000)	(12,771,008)
Interest paid	(39,229,666)	(30,373,026)
Gratuity paid	(7,207,842)	(2,267,930)
Net cash and cash equivalent from Operating activities	179,722,774	142,108,250
Investing activities		
Interest income	7,095,730	8,478,800
Purchase of property, plant and equipment	(100,522,535)	(198,246,578)
Proceeds from disposal of property, plant & equipment	6,039,542	7,734,994
Net investment in fixed deposits	(46,867,562)	58,490,256
Net cash and cash equivalent utilised in investing activities	(134,254,825)	(123,542,527)
Financing activities		
Dividend paid	(12,776,400)	(12,776,400)
Repayment of loans	(18,456,000)	(19,264,000)
Net cash and cash equivalent from financing activities	(31,232,400)	(32,040,400)
Net increase / (decrease) in cash and cash equivalents	14,235,548	(13,474,677)
Cash and cash equivalents at the beginning of the year	16,831,377	30,306,054
Cash and cash equivalents at the end of the year	31,066,925	16,831,377
Cash and cash equivalents at the beginning of the year		
Cash in hand and cash at bank	77,266,311	119,895,025
Bank Overdraft	(60,434,934)	(89,588,971)
	16,831,377	30,306,054
Cash and cash equivalents at the end of the year		
Cash in hand and cash at bank	32,882,564	77,266,311
Bank overdraft	(1,815,639)	(60,434,934)
	31,066,925	16,831,377

The accounting policies and notes from 01 to 37 form an integral part of these financial statements.

1. CORPORATE INFORMATION**1.1. General**

Abans Electricals PLC is a public limited liability company incorporated and domiciled in Sri Lanka and is listed in the Colombo Stock Exchange. The registered office of the company is located at No. 498, Galle Road, Colombo 3 and the principal places of business are situated at No. 126, Airport Road, Ratmalana, and No. 506B Galle Road, Colombo 06.

1.2. Principal activities and nature of operations

The principal activities of the company are manufacturing and assembling household electrical and electronic appliances and providing repairs and maintenance and technical services of similar type of appliances.

1.3. Parent entity

The company's parent entity is Abans PLC.

1.4. Date of authorization for issue

The financial statements of the company for the year ended 31 March 2016 were authorized for issue under a resolution of the board of directors on 29th July 2016

2. BASIS OF PREPARATION**2.1. Statement of compliance**

The financial statements of the company (statement of financial position, statement of comprehensive income, statement of changes in equity, statement of cash flows together with accounting policies and notes) are prepared in accordance with Sri Lanka Accounting Standards (LKASs and SLFRSs) as issued by the Institute of Chartered Accountants of Sri Lanka and in compliance with the requirements of the Companies Act No.07 of 2007.

2.2. Basis of measurement

The financial statements have been prepared on historical cost basis, except the defined benefit obligation, which is recognized at its present value.

2.3. Functional and presentation currency

The financial statements are presented in Sri Lankan Rupees, which is the company's functional currency and presentation currency. All financial information presented in Sri Lanka Rupees is rounded to the nearest rupee unless otherwise stated.

2.4. Comparative information

The accounting policies have been consistently applied by the company with those of the previous financial year in accordance with LKAS 01 - presentation of financial statements, except those which had to be changed as a result of application of the new SLFRS. Further, comparative information is reclassified wherever necessary to comply with the current presentation.

2.5. Materiality & aggregation

In compliance with LKAS 01 on presentation of financial statements, each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the statement of financial position, only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not off-set in the statement of comprehensive income unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.

3. SIGNIFICANT ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of financial statements requires the application of certain critical accounting assumptions relating to the future. Further, it requires the management of the company to make judgments, estimates and assumptions that affect the reported amounts of income, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability in future periods. Hence, actual experience and results may differ from these judgments and estimates.

In the process of applying the company's accounting policies, management has made the following judgments, estimates and assumptions which have the most significant effect on the amounts recognized in the financial statements:

a) Taxation

The company is subject to income taxes and other taxes including value added taxation, Excise duty and Nation Building tax. Significant judgment was required to determine the total provision for current, deferred and other taxes pending the issue of tax guidelines on the treatment of the adoption of SLFRS in the financial statements and the taxable profit for the purpose of imposition of taxes. Uncertainties exist, with respect to the interpretation of the applicability of tax laws, at the time of the preparation of these financial statements.

The company recognized assets and liabilities for current, deferred and other taxes based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax amounts in the period in which the determination is made.

b) Useful life-time of the property, plant and equipment

The company reviews the residual values, useful lives and methods of depreciation of assets as at each reporting date. Judgment of the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

c) Going Concern

The directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, the board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the financial statements continue to be prepared on the going concern basis.

d) Impairment losses on financial assets

The company assesses at each reporting date or more frequently to determine whether there is any objective evidence whether an impairment loss should be recorded in the statement of comprehensive income.

e) Deferred tax assets

Deferred tax assets are recognized for all deductible temporary differences. Significant management judgments are required to determine the amount of deferred tax assets that can be recognized, based on the likely timing and level of future taxable profits together with future tax planning strategies.

f) Defined benefit plans

The cost of defined benefit plans are determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future.

These include the determination of the discount rate, future salary increases, mortality rates, etc. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the yield of Sri Lanka Government bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the company.

4. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The significant accounting policies applied by the company in preparation of its financial statements are included below.

4.1. Revenue recognition

4.1.1. Sale of goods

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the company and the revenue and associated costs incurred or to be incurred can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable net of trade discounts and sales taxes.

Revenue from the sale of goods is recognized when all the following conditions are satisfied:

- The company has transferred significant risks and rewards of ownership of the goods to the buyer.
- The company retaining, neither a continuing managerial involvement to the degree usually associated with ownership nor an effective control over the goods sold.
- The amount of revenue can be measured reliably and it is probable that the economic benefits associated with the transaction will flow to the entity; and
- The costs incurred or to be incurred in respect of the transaction can be measured reliably.

4.1.2 Rendering of Services

When the outcome of a transaction involving the rendering of services can be estimated reliably, revenue associated with the transaction shall be recognized by reference to the stage of completion of the transaction at the end of the reporting period.

The outcome of a transaction can be estimated reliably when all the following conditions are satisfied;

- The amount of revenue can be measured reliably.
- It is probable that the economic benefits associated with the transaction will flow to the entity.
- the stage of completion of the transaction at the end of the reporting period can be measured reliably; and
- The costs incurred for the transaction and the costs to complete the transaction can be measured reliably.

4.1.3 Interest Income

Interest income is recognized using the Effective Interest Rate (EIR) method.

4.1.4 Dividend income

Dividend income is recognised in the statement of comprehensive income on an accrual basis when the company's right to receive the dividend is established.

4.1.5 Deferred income

The service income of the company is recognized over the warranty period since the company is obliged to provide service for the agreed warranty period.

4.1.6 Other income

Other income is recognized on an accrual basis.

4.2 Expenditure recognition

Expenses are recognized in the statement of comprehensive income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in running the business and in maintaining property, plant and equipment in a state of efficiency has been charged to the statement of comprehensive income.

For the purpose of presentation of the statement of comprehensive income, the "function of expenses" method has been adopted, on the basis that it presents fairly the elements of the company's performance.

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the statement of comprehensive income.

4.3 Taxation**4.3.1 Current tax**

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year and any adjustment to tax payable in respect of prior years. The tax rates and tax laws used to compute the amount are those that are enacted or substantially enacted as at the reporting date.

4.3.2 Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of reporting period between the tax bases of assets and liabilities and their carrying amounts for financial reporting purpose.

Deferred tax assets are recognised for all deductible differences. The carrying amount of a deferred tax asset is reviewed at each reporting date and reduced to the extent it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Un-recognised deferred tax assets are re-assessed at each date of the Statement of Financial Position and are recognised to the extent that it is probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rate that are expected to apply in the year when the assets are realised or the liabilities are settled, based on tax rates and tax laws that have been enacted or subsequently enacted at the reporting date.

4.4 Non-financial asset**4.4.1 Property, plant and equipment****Recognition and measurement**

Property, plant & equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 - property, plant & equipment. Initially property, plant and equipment are measured at cost.

Cost model

Property, plant and equipment is stated at cost, excluding the costs of day-to-day servicing, less accumulated depreciation and accumulated impairment in value. Such cost includes the cost of replacing part of the equipment when that cost is incurred, if the recognition criteria are met.

Subsequent cost

Subsequent expenditure incurred for the purpose of acquiring, extending, or improving assets of a permanent nature by means of which to carry on the business or to increase the earning capacity of the business is treated as capital expenditure and such expenses are recognized in the carrying amount of an asset. The costs associated with day-to-day servicing of property, plant and equipment is recognized in the statement of comprehensive income as incurred.

Depreciation

Depreciation is calculated using the straight-line method to write down the cost of property, plant and equipment to their residual values over their estimated useful lives. Depreciation is charged from the date of purchase to the date of disposal on pro-rata basis. Land is not depreciated. The rates of depreciations based on the estimated useful lives.

Categories of assets	Useful life
Building and installation	Over 40 years
Plant and Machinery	Over 10 years
Furniture and Fittings	Over 10 years
Fixtures and Fittings	Over 10 years
Office equipment	Over 10 years
Motor vehicles	Over 4 years
Computer equipment	Over 4 years

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property, plant and equipment are de-recognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on de-recognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'other operating income' in the statement of comprehensive income in the year the asset is de-recognised.

4.4.2 Impairment of non-financial assets

The company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount.

4.5 Leasehold property

Assets held under finance leases are initially recognised as assets of the company at their fair value at the inception of the lease or, if lower, at the present value of the minimum lease payments. The corresponding liability to the lessor is included in the statement of financial position as a finance lease obligation.

Lease payments are apportioned between finance expenses and reduction of the lease obligations so as to achieve a constant rate of interest on the remaining balance of the liability. Finance expenses are recognised immediately in statement of comprehensive income, unless they are directly attributable to qualifying assets, in which case they are capitalised in accordance with the company's general policy on borrowing costs.

4.6 Operating leases

Leases where the lessor effectively retains substantially all the risk and benefits of ownership over the leased term are classified as operating leases. Operating lease payments are recognised as an expense on a straight-line basis over the lease term or on a basis which is more representative of the time pattern in which economic benefits from the leased asset are consumed.

4.7 Inventories

Inventories are valued at the lower of cost and net realisable value (NRV). NRV is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale. Costs incurred in bringing inventories to their present conditions and locations are accounted using the following cost formula;

Raw materials :	At actual cost on FIFO (first-in first-out) basis
Work-in -progress :	At actual cost of direct materials (excluding packing materials) and an appropriate proportion of direct labour
Manufactured finished goods :	At actual cost of direct material, direct labour and an appropriate proportion of fixed production overheads based on normal operating capacity
Purchased finished goods :	At actual cost on first-in first-out basis
Consumables and spares :	At actual cost on first-in first-out basis
Goods in transit :	At actual cost

4.8 Financial assets – recognition and measurement

4.8.1 Initial recognition

All financial assets are initially recognized on the trade date, i.e., the date that the company becomes a party to the contractual provisions of the instrument. This includes 'regular way trades': purchases or sales of financial assets that require delivery of assets within the time-frame generally established by regulation or convention in the market place.

4.8.2 Initial measurement

The classification of financial instruments at initial recognition depends on their purpose and characteristics and the management's intention in acquiring them. All financial instruments are measured initially at their fair value including transaction costs, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss.

4.8.3 Subsequent measurement

The company subsequently measures non-derivative financial assets categorising them in to the categories of financial assets at fair value through profit or loss, held-to-maturity investments, loans and receivables and available-for-sale financial assets.

i. Financial assets at Fair Value Through Profit or Loss (FVTPL)

A financial asset is classified as fair value through profit or loss if it is held for trading or is designated at fair value through profit or loss.

ii. Held-to-maturity financial investments

Held - to - maturity financial investments are non-derivative financial assets with fixed or determinable payments and fixed maturities, which the company has the intention and ability to hold to maturity. Subsequent to initial measurement, held to maturity financial investments are measured at amortised cost using the Effective Interest Rate (EIR), less impairment.

iii. Loans and receivables

Loans and receivables include non- derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- Those that the company intends to sell immediately or in the near term and those that the company, upon initial recognition, designates as at fair value through profit or loss
- Those that the company, upon initial recognition, designates as available for sale
- Those for which the company may not recover substantially all of its initial investment, other than because of credit deterioration

After initial measurement, loans and receivables are subsequently measured at amortised cost using the EIR method less allowance for impairment. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest income' in the statement of comprehensive income. The losses arising from impairment are recognised in the statement of comprehensive income in 'impairment gain/ (loss) on loans and receivables'.

iv. Available-for-sale financial assets

Available for sale financial assets are those which are neither classified as held for trading nor designated at fair value through profit or loss. The company has not designated any financial asset as available-for-sale.

After initial measurement, available-for-sale financial investments are measured at fair value. Unrealised gains and losses are recognised directly in equity (other comprehensive income) in the "available - for - sale reserve". When the asset is disposed of, the cumulative gain or loss previously recognized in equity is recognised in the statement of comprehensive income in other operating income.

4.8.4 Reclassification of financial assets

The company may re-classify non - derivative financial assets other than those designated at FVTPL upon initial recognition, in certain circumstances:

- out of the held-for-trading category and into the available for sale, loans and receivables, or held-to-maturity categories.
- out of the 'available-for-sale' category and into the 'loans and receivables', 'held for trading category' or 'held-to-maturity'. Reclassifications are recorded at fair value at the date of reclassification, which becomes the new amortised cost. For a financial asset re - classified out of the 'available-for-sale' category, any previous gain or loss on that asset that has been recognized in equity is amortised to statement of comprehensive income over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is recycled to the statement of comprehensive income.
- out of the 'held-for-trading' category and into the 'loans and receivables' category if it meets the definition of loans and receivables and the company has the intention and ability to hold the financial asset for the foreseeable future or until maturity. If a financial asset is re-classified, and if the company subsequently increases its estimates of future cash receipts as a result of increased recoverability of those cash receipts, the effect of that increase are recognized as an adjustment to the EIR from the date of the change in estimate.

Re - classification is at the election of the management, and is determined on an instrument by instrument basis.

4.8.5 De-recognition of financial assets

A financial asset (or, where applicable a part of a financial asset or part of a group of similar financial assets) is de-recognised when:

- the rights to receive cash flows from the asset have expired.
- the company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement and either:
 - the company has transferred substantially all the risks and rewards of the asset or
 - the company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the company has transferred its rights to receive cash flows from an asset or has entered into a pass - through arrangement, and has neither transferred nor retained substantially all of the risks and rewards of the asset nor transferred control of the asset, the asset is recognised to the extent of the company's continuing involvement in the asset. In that case, the company also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the company has retained. Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the company could be required to repay.

4.8.6 Identification, measurement and assessment of impairment

At each reporting date the company assesses whether there is objective evidence that financial assets are not carried at fair value through profit or loss are impaired. A financial asset or a group of financial assets is impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset(s), and that the loss event has an impact on the future cash flows of the asset(s) that can be estimated reliably.

The company writes off loans and receivables when they are determined to be unrecoverable.

4.9 Cash and bank balances

Cash and bank balances are defined as cash-in-hand and balances with banks.

For the purpose of cash flow statement, cash and cash equivalents consist of cash in hand and deposits in banks net of outstanding bank overdrafts. Investments with short maturities i.e. three months or less from the date of acquisition are also treated as cash equivalents.

4.10 Stated capital

Ordinary shares are classified as equity. The equity instruments are measured at the fair value of the cash or other resources received or receivable, net of the direct costs of issuing the equity instruments.

4.11 Retirement benefit obligations

4.11.1 Defined benefit plan – gratuity

The company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which an obligation to pay gratuity arises only on completion of 5 years of continued service. The company's obligations under the said Act is determined based on an actuarial valuation, using the projected unit credit method, carried out by a professional actuary. Actuarial gains and losses recognized in the other comprehensive income. The liability is not externally funded.

4.11.2 Defined contribution plan

A defined contribution plan is a post-employment benefit plan under which an entity pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution plans are recognised as an employee benefit expense in the Statement of comprehensive income as in the periods during which services are rendered by employees.

a. Employees' Provident Fund

The company and employees contribute 12% and 8% respectively on the salary of each employee to the approved Provident Fund.

b. Employees' Trust Fund

The company contributes 3% of the salary of each employee to the Employees' Trust Fund.

4.12 Financial liabilities

4.12.1 Initial recognition and measurement

The company classifies financial liabilities in to financial liabilities at Fair Value through Profit or loss (FVTPL) or other financial liabilities in accordance with the substance of the contractual arrangement and the definitions of financial liabilities.

The company recognizes financial liabilities in the statement of financial position when the company becomes a party to the contractual provisions of the financial liability.

i. Financial liability at FVTPL

Financial liabilities at FVTPL include financial liabilities held-for-trading or designated as such upon initial recognition. Subsequent to initial recognition, financial liabilities at FVTPL are measured at fair value, and changes there in recognized in statement of comprehensive income.

Upon initial recognition, transaction costs are directly attributable to the acquisition are recognized in statement of comprehensive income as incurred.

The criteria for designation of financial liabilities at FVTPL upon initial recognition are the same as those of financial assets at FVTPL.

ii. Other financial liabilities

Other financial liabilities including deposits, debt issued by the company and the other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the EIR method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR.

4.12.2 De-recognition of financial liabilities

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a de-recognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in statement of comprehensive income.

4.13 Grant receipt

Grants received from Principle Suppliers whose primary condition is that the company should purchase, construct or otherwise acquire non-current assets that are recognized as deferred revenue in the statement of financial position and transferred to statement of comprehensive income on a systematic and rational basis over the useful lives of the related assets.

4.14 Provisions

Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in the statement of comprehensive income net of any reimbursement.

4.15 Cash flow statement

The cash flow statement has been prepared using the indirect method, as stipulated in LKAS 7- statement of cash flows. Cash and cash equivalents comprise of cash in hand, cash at bank and bank overdrafts.

4.16 Segmental information

For management purposes, the company has organized two operating segments based on products and services, as follows:

- Manufacturing
- Services

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on operating profits or losses which, in certain respects, are measured differently from operating profits or losses in the financial statements. Income taxes are managed on a company basis and are not allocated to operating segments.

Transfer prices between operating segments are on an arm's length basis in a manner similar to transactions with third parties.

4.17 Effect of the accounting standard issued but not yet effective:

Standards issued but not yet effective up to the date of issuance of the company financial statements are listed below. This listing is of standards and interpretations issued, which the company reasonably expects to be applicable at a future date. The company intends to adopt those standards when they become effective.

Notes to Financial Statements

For the Year Ended 31st March 2016

(i) SLFRS 9 -Financial Instruments: Classification and Measurement

SLFRS 9, as issued reflects the first phase of work on replacement of LKAS 39 and applies to classification and measurement of financial assets and liabilities. This standard was originally effective for annual periods commencing on or after 01 January 2018.

(ii) SLFRS 15 -Revenue from Contracts with Customers

SLFRS 15 establishes a comprehensive framework for determining whether, how much and when revenue is recognized. It replaces existing revenue recognition guidance, including LKAS 18 Revenue, LKAS 11 Construction Contracts and IFRIC 13 Customer Loyalty Programmes. This standard is effective for the annual periods beginning on or after 01 January 2018.

Pending the detailed review of such standards and interpretations, the extent of the impact has not been determined by the management.

	2015/2016 Rs.	2014/2015 Rs.
05 Revenue		
Manufacturing Department	2,685,804,168	2,007,650,312
Service Department	821,005,073	723,960,794
	<u>3,506,809,241</u>	<u>2,731,611,106</u>
06 Other income		
Scrap and sundry parts sales	7,372,703	5,832,906
Transport and warehouse reimbursement	16,920,528	19,027,668
Interest income	7,095,730	8,478,800
Insurance claim	452,120	877,110
Interest on employee loan	218,598	456,968
Profit on disposal of motor vehicle	2,880,170	2,301,781
Exchange gain	1,018,355	10,133,796
Revenue grant	3,230,475	3,230,475
Interest on over due payment	1,729	57,523
Rent	900,000	-
Service income	-	3,478,396
Income from mobile bus	200,000	1,826,531
	<u>40,290,408</u>	<u>55,701,954</u>
07 Finance and other expenses		
Term loan interest	5,233,800	7,040,438
Bank charges and commission	915,565	817,426
Overdraft interest	1,300,584	1,697,985
Interest on import loan	32,992,305	21,416,996
Stamp duty	166,925	142,900
	<u>40,609,179</u>	<u>31,115,745</u>
08 Profit before tax		
Profit from operations is stated after charging all expenses including the followings :		
Directors remuneration	6,578,772	6,078,772
Depreciation	65,593,121	6,406,895
Provision for bad and doubtful debts	1,702,057	749,577
Staff costs	401,766,109	348,852,899
Defined contribution plan cost	52,814,960	46,015,274
Defined benefit plan cost	21,831,741	18,946,215
Donations	405,207	295,975
Auditor's remuneration	582,434	798,360
Legal fees	1,559,999	1,002,008
Provision for obsolete stock	-	950,083

	2015/2016 Rs.	2014/2015 Rs.
09 Tax expenses		
Current tax (Note 9.1)	33,874,008	4,522,556
Deferred tax (Note 25)	<u>7,651,032</u>	<u>1,734,064</u>
	<u>41,525,040</u>	<u>6,256,620</u>

9.1 Reconciliation between current tax expense and the accounting profit

A reconciliation between tax expense and the product of accounting profit multiplied by the statutory tax rate is as follows:

Profit from operation	140,348,478	100,000,824
Disallowable expenses	99,744,072	93,817,369
Profit on disposal of fixed assets	1,620,313	(2,301,781)
Allowable expenses	(134,941,430)	(154,522,585)
Deferred income	42,158,732	7,109,913
Revenue grant	<u>(3,230,475)</u>	<u>(3,230,475)</u>
	145,699,690	40,873,265
Qualifying payment	<u>(24,721,092)</u>	<u>(24,721,279)</u>
Taxable income	120,978,598	16,151,986
Income tax @ 28%	<u>33,874,008</u>	<u>4,522,556</u>

10 Earnings per share - Basic/Diluted

Basic Earnings Per Share is calculated based on the profit after taxation attributable to ordinary shareholders divided by the weighted average number of ordinary shares outstanding during the year.

	As at 31.03.2016	As at 31.03.2015
Amount used as the numerator		
Profit attributable to ordinary shareholders	98,823,438	93,744,203
Amount used as the denominator		
Weighted average number of shares	5,110,560	5,110,560
Earnings per share - Basic	19.34	18.34
11 Dividend proposed		
Dividend paid	-	2.50
Dividend proposed	3.00	2.50

Notes to Financial Statements
For the Year Ended 31st March 2016

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Abans Electricals PLC
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	31.03.2016 Rs.	31.03.2015 Rs.
12 Property, plant and equipment		
Freehold (Note 12.1)	<u>572,881,462</u>	<u>541,111,420</u>

12.1 Freehold

	Balance at the beginning of the year Rs.	Additions Rs.	Disposals Rs.	Balance at the end of the year Rs.
Cost				
Land and land development	157,156,665	30,326,315	-	187,482,980
Building	167,851,629	1,151,151	-	169,002,780
Plant and machinery	285,110,322	1,351,407	(812,717)	285,649,012
Furniture and fittings	15,183,160	1,942,686	(83,250)	17,042,596
Fixtures and fittings	10,680,171	3,152,935	-	13,833,106
Office equipment	19,250,048	468,293	-	19,718,341
Tools	34,839,066	4,987,165	-	39,826,231
Computer equipment	51,060,257	6,976,796	-	58,037,053
Motor vehicles	126,803,416	48,564,312	(11,140,161)	164,227,567
On loan asset	-	1,601,477	-	1,601,477
	<u>867,934,734</u>	<u>100,522,536</u>	<u>(12,036,128)</u>	<u>956,421,142</u>
	Balance at the beginning of the year Rs.	Charge during the year Rs.	Depreciation on disposals Rs.	Balance at the end of the year Rs.
Depreciation				
Building	41,621,772	4,756,796	-	46,378,567
Plant and machinery	132,957,346	21,987,708	(677,264)	154,267,789
Furniture and fittings	7,834,345	1,026,154	(16,500)	8,843,999
Fixtures and fittings	4,243,605	1,123,607	-	5,367,212
Office equipment	10,147,285	1,627,689	-	11,774,974
Tools	13,863,632	2,935,652	-	16,799,284
Computer equipment	44,258,145	4,064,273	-	48,322,418
Motor vehicles	71,897,185	27,899,830	(8,182,991)	91,614,024
On loan asset	-	171,411	-	171,411
	<u>326,823,314</u>	<u>65,593,121</u>	<u>(8,876,755)</u>	<u>383,539,680</u>
Written down value	<u>541,111,420</u>			<u>572,881,462</u>

13 Intangible assets

	Balance at the beginning of the year Rs.	Additions/ Charge during the year Rs.	Disposals Rs.	Balance at the end of the year Rs.
Cost				
Computer software	14,360,433	-	-	14,360,433
Depreciation				
Computer software	14,342,866	4,832	-	14,347,698
Written down value	<u>17,567</u>	<u>4,832</u>	<u>-</u>	<u>12,735</u>

14 Investments

Abans Jung Poong (Pvt) Ltd.
114,540 Shares of Rs.100/- each

31.03.2016 Rs.	31.03.2015 Rs.
<u>11,454,000</u>	<u>11,454,000</u>

Abans Jung Poong (Pvt) Ltd has ceased its business in 1996/1997 . The board has taken the initiatives to wind up the company under the creditors voluntary winding up.

Abans Electricals PLC owns 49.2% of Jung Poong (Pvt) Ltd, which represent Rs. 14.58 Mn of the total market value (Rs.35.65 Mn) of Land and building. Consequently the company is certain that the full investment of Rs 11.454 Mn and the dues receivable, can be recovered.

15 Investments in fixed deposits

Peoples Bank	5,000,000	5,000,000
Bank of Ceylon	77,736,476	67,517,715
Seylan Bank	549,499	522,149
Abans Finance PLC	36,621,452	-
	<u>119,907,426</u>	<u>73,039,864</u>

	31.03.2016	31.03.2015
	Rs.	Rs.
16 Inventories		
Raw material	361,373,964	294,367,701
Work-in-progress	24,255,758	24,680,665
Finished goods		
- Manufactured	17,473,559	12,094,341
- Imported	775,188	435,068
Goods in Transit	46,978,690	6,043,646
	<u>450,857,159</u>	<u>337,621,422</u>
Provision for damaged and obsolete stock	<u>(14,974,569)</u>	<u>(41,049,709)</u>
	<u><u>435,882,590</u></u>	<u><u>296,571,713</u></u>
17 Trade and other receivables		
<u>Financial assets</u>		
Trade debtors	105,035,779	74,953,021
Allowance for impairment	<u>(16,164,111)</u>	<u>(11,164,839)</u>
	88,871,668	63,788,182
Loans to employees	4,026,025	1,921,559
	<u>92,897,693</u>	<u>65,709,741</u>
<u>Non financial assets</u>		
Other receivables	5,333,634	6,237,992
	<u><u>98,231,328</u></u>	<u><u>71,947,733</u></u>
18 Advances, deposits and prepayments		
Advances	6,709,558	11,892,413
Deposits	4,822,392	4,282,392
Prepayments	6,870,999	4,406,058
	<u><u>18,402,949</u></u>	<u><u>20,580,863</u></u>
19 Amounts due from related parties		
Abans PLC	84,563,484	72,055,087
Abans Restaurent (Pvt) Ltd	43,859	43,859
Abans Environmental Services (Pvt) Ltd	24,992	10,506
Abans Jung Poong (Pvt) Ltd	591,501	591,501
Abans Marketing (Pvt) Ltd	12,838,463	15,018,612
Abans Retail (Pvt) Ltd	628,851,336	433,127,178
Abans Tourist Hotel (Pvt) Ltd	43,743	4,168
A-Z Electronics (Pvt) Ltd	-	8,049
Abans Automation (Pvt) Ltd	453,559	113,345
ABS Courier (Pvt) Ltd	223,878	-
	<u><u>727,634,815</u></u>	<u><u>520,972,307</u></u>
20 Cash and cash equivalent		
Cash in hand	2,964,587	33,667,262
Cash at bank	29,917,977	43,599,049
	<u><u>32,882,564</u></u>	<u><u>77,266,311</u></u>

Notes to Financial Statements
For the Year Ended 31st March 2016

	Number of shares	31.03.2016 Rs.	31.03.2015 Rs.
21 Stated capital			
Issued and fully paid	5,110,560	<u>186,732,000</u>	<u>186,732,000</u>
22 Borrowings			
22.1 Long term borrowings			
Term loan - long term portion (Note 22.3)		<u>28,056,000</u>	<u>46,512,000</u>
22.2 Short term borrowings			
Term loan - Short term portion (Note 22.3)		18,456,000	18,456,000
Import loans		510,288,369	281,973,572
Provision for interest		1,379,513	742,719
Bank overdraft (Note 22.4)		<u>1,815,639</u>	<u>60,434,934</u>
		<u>531,939,521</u>	<u>361,607,225</u>
22.3 Term loan			
Balance at the beginning of the year		64,968,000	84,232,000
Payment made during the year		<u>(18,456,000)</u>	<u>(19,264,000)</u>
		46,512,000	64,968,000
Repayable within one year		<u>(18,456,000)</u>	<u>(18,456,000)</u>
Repayable after one year		<u>28,056,000</u>	<u>46,512,000</u>
22.4 Bank overdrafts			
Hatton National Bank		63,368	19,495,996
Sampath Bank		1,752,271	11,312,736
HSBC		-	29,626,202
		<u>1,815,639</u>	<u>60,434,934</u>
22.5 Terms and conditions of borrowing facilities			
Facility	Security		
<u>Import loans</u>			
Peoples Bank	- Primary floating mortgage bond of Rs. 250 Mn over stock and book debts.		
HNB Bank	- Primary floating mortgage bond Rs.400 Mn over stock of refrigerator cabinets & components .		
Bank of Ceylon	- Hypothecation Bond of Rs. 80 Mn over stock and book debts		
Sampath Bank	- Primary floating mortgage bond of Rs. 350 Mn over stock and book debts.		
<u>Term loan facility</u>			
Sampath Bank	- Primary mortgage bond for Rs. 65 Mn over the moulds imported for washing machine assembly line		
	- Primary mortgage bond for Rs.21.5 Mn over the machinery parts imported for the air conditioner assembly line		
<u>Overdraft facilities</u>			
HNB	- Primary floating mortgage bond for Rs. 60 Mn over land & building situated at No. 126, Airport Road, Ratmalana.		
Sampath Bank	- Mortgage over Stock and Book Debts		
Peoples Bank	- Mortgage over Stock and Book Debts		
Union Bank	- Concurrent mortgage bond Rs. 75 Mn over the company stock in trade & assignment of book debts		

	31.03.2016 Rs.	31.03.2015 Rs.
23 Retirement benefit obligations		
Balance at the beginning of the year	86,752,528	66,897,118
Interest cost	8,675,253	7,024,197
Current service cost	13,156,488	10,524,892
Actuarial loss	513,706	5,314,251
	<u>109,097,975</u>	<u>89,760,458</u>
Payments made during the year	(7,207,842)	(3,007,930)
Balance at the end of the year	<u>101,890,133</u>	<u>86,752,528</u>

The retirement benefit liability of the company is based on the actuarial valuation carried out by Actuarial & Management Consultant (Pvt) Ltd. The principal assumptions used in determining the cost of retirement benefits obligations were:

Discount rate	10.0%	10.5%
Expected rate of salary increase	12.0%	12.0%

The amounts recognised in the income statement are as follows:

Current service cost	13,156,488	10,524,892
Interest cost	8,675,253	7,024,197
Actuarial loss	513,706	5,314,251

24 Revenue grant

Balance at the beginning of the year	5,384,126	8,614,600
Grant recognised as income for the year	(3,230,475)	(3,230,475)
Balance at the end of the year	<u>2,153,651</u>	<u>5,384,126</u>

Company received a revenue grant of Rs.12,921,900(Net of VAT and NBT) in December 2012 from LG Korea to display LG Logo in service bus for five years period.

25 Deferred tax liability

Balance at the beginning of the year	32,804,764	31,070,700
Provision made during the year	7,651,032	1,734,064
Balance at the end of the year	<u>40,455,796</u>	<u>32,804,764</u>

Reconciliation of deferred tax	Property, plant & equipments Rs.	Retirement benefit obligation Rs.	Total Rs.
Temporary differences			
Balance at the beginning of the year	(57,095,472)	24,290,708	(32,804,764)
Recognised in profit or loss	(11,889,562)	4,238,529	(7,651,032)
Balance at the end of the year	<u>(68,985,034)</u>	<u>28,529,237</u>	<u>(40,455,796)</u>

26 Trade and other payables**Financial liability**

	31.03.2016 Rs.	31.03.2015 Rs.
Trade creditors	80,284,999	26,868,718
DA bills payable	170,815,279	97,348,311
Accrued charges	82,011,410	90,377,532
Other payables	66,282,504	74,800,718
Provision	2,562,762	1,262,193
Rework claim	5,513,360	6,515,673
Import control	326,492	3,963,902
	<u>407,796,808</u>	<u>301,137,046</u>

Non financial liability

Excise duty	34,498,841	22,747,572
Nations building tax	2,452,474	2,876,232
Value added tax	3,740,339	3,907,865
	<u>40,691,654</u>	<u>29,531,669</u>

	<u><u>448,488,461</u></u>	<u><u>330,668,715</u></u>
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27 Income tax payable/(receivable)

Balance brought forward	(7,896,156)	886,601
Charge for the year	33,874,008	4,522,556
	<u>25,977,852</u>	<u>5,409,157</u>
Payments during the Year	(1,000,000)	(12,771,008)
Withholding tax	(449,655)	(534,304)
	<u><u>24,528,197</u></u>	<u><u>(7,896,156)</u></u>

28 Deferred service income

Deferred Service Income consists of the income received for under - warranty for selected refrigerators and washine machines.

29 Amounts due to related parties

AB Transport (Pvt) Ltd	1,942,078	-
Abans Auto (Pvt) Ltd	213,555	196,101
AB Securitas (Pvt) Ltd	2,946,712	2,213,877
Crown City Developers (Pvt) Ltd	8,467,257	6,602,413
Abans Graphics (Pvt) Ltd	1,216,744	506,415
Sirius Technologies Services (Pvt) Ltd	133,438	266,876
Abans Engineering (Pvt) Ltd	9,441,094	21,517,433
Abans Trandex (Pvt) Limited	-	2,703
ABS Gardiner Dixon Hall	-	801,038
Add Outdoor Advertising	64,009	62,348
Abans Financial Services Ltd	-	21,024,864
	<u><u>24,424,887</u></u>	<u><u>53,194,068</u></u>

30 Analysis of financial instruments by measurement basis

	Loans & receivables at amortized cost	
	31.03.2016 Rs.	31.03.2015 Rs.
Financial assets		
Investment in fixed deposits	119,907,426	73,039,864
Trade and other receivables	92,897,693	65,709,741
Amounts due from related parties	727,634,815	520,972,307

	Other financial liabilities	
	31.03.2016 Rs.	31.03.2015 Rs.
Financial liabilities		
Borrowings	531,939,521	361,607,225
Trade and other payables	407,796,808	301,137,046
Amounts due to related parties	24,424,887	53,194,068

31 Financial Risk Management

Financial risk comprises the potential loss to earnings and /or the capital position arising from Liquidity Risk, Currency Risk and Interest Rate Risk. So, we are in the position to mitigate the risk by monitoring of liquidity position and assessment of future cash requirements through rolling forecast, keeping long outstanding relationships with correspondent banks and also maintaining diversified funding systems. Company has entered into a fixed term interest rate contracts for short term borrowings and there by interest rate risk can be eliminated. Long term borrowings are exposed to fluctuation of interest rates due to contracted floating rates. Management continuously monitors fluctuations for proactive actions to mitigate the possible losses. The DA (Documents against Acceptance) bills shown under the trade payable are exposed to exchange rate fluctuations.

Trade debtor balance shows the net balance after providing for doubtful debts. Term of credit given for debtors are less than one (01) year. The proper terms and conditions are agreed when entering into the transaction to mitigate the default risk. Amounts due from related party represent the balances generated from intercompany transactions. These transactions are entered into based on proper terms and conditions and are almost short term. There is no apparent default or credit risk in those. Favorable Net Working Capital and Current Assets Ratio is an evidence for the low level of Liquidity Risk. The fixed deposits are strengthen its' ability to meet the unforeseen Liquidity Risk.

Sensitivity Analysis of the Exchange Rate Risk on DA Bills

Foreign exchange value	Currency	31 st March 2016 exchange rate	Rupee value as at 31 st March 2016	Exchange rate increase in Rs. 1/-	Exchange rate increase in Rs. 2/-	Exchange rate increase in Rs. 3/-	Exchange rate increase in Rs. 4/-
1,060,821	Dollars	146.78	155,707,336	156,768,157	157,828,978	158,889,799	159,950,621
Potential Loss compared to 31 st March 2016 % of loss				1,060,821 0.68%	2,121,642 1.36%	3,182,464 2.04%	4,243,285 2.73%
90,326	Euros	167.26	15,107,927	15,198,253	15,288,579	15,378,905	15,469,231
Loss compared to 31 st March 2016 % of loss				90,326 0.60%	180,652 1.20%	270,978 1.79%	361,304 2.39%

32. Related party transaction and disclosures

The company carries out transaction in the ordinary cause of business with the parties who are defined as related parties in the Sri lank Accounting Standard-"LKAS 24 - Related Party Disclosure", The details of which are reported below :

The pricing applicable to such transaction is based on the assessment of risk & pricing model of the company & it's comparable with what is applicable to transaction between company and it's unrelated customers.

Company	Relationship	Nature of Transaction	2015/2016 Amount Rs.
Abans PLC	Parent	Sales of Goods/Services Service income Reimbursement of warehouse expenses Wharf expenses Other purchases Courier charges	44,047,011 440,683,105 6,000,000 (27,255,588) (18,665,831) (269,214)
Abans Retail (Pvt) Ltd	Affiliate	Sales of goods Service income	2,416,045,994 172,334,692
Abans Marketing (Pvt) Ltd	Affiliate	Rent expenses	(3,000,000)
Crown City Developers (Pvt) Ltd	Affiliate	Logistic expense	(31,202,170)
Abans Engineering (Pvt) Ltd	Affiliate	Purchases Subcontracting charges Sales of Goods/Services	(61,290,589) (4,404,011) 11,027,170
AB Transport (Pvt) Ltd	Affiliate	Freight expenses	(15,014,477)
ABS Courier Services (Pvt) Ltd	Affiliate	Rent income	1,260,000
Abans Graphics (Pvt) Ltd	Affiliate	Printing charges/Advertising	(371,007)
AB Securitas (Pvt) Ltd	Affiliate	Security charges	(15,917,791)
Abans Environmental Services (Pvt) Ltd	Affiliate	Cleaning charges	(1,140,704)
Add Outdoor (Pvt) Ltd	Affiliate	Advertising charges	(99,122)
Abans Auto (Pvt) Ltd	Affiliate	Motor vehicle maintenance	(2,317,559)
ABS Gardner Dixon Hall International (Pvt) Ltd	Affiliate	Advertising charges	(665,264)
Abans Finance PLC	Affiliate	Fixed deposit Interest income	(35,000,000) 589,808

The balance outstanding as at the reporting date disclosed under note 19 and 29.

33. Transactions with Key Management Personnel (KMPs)

According to LKAS 24, KMPs are those having authority and responsibility for planning, directing and controlling the activities of the entity. Such KMPs include the board of directors of the Company.

	2015/2016	2014/2015
Post employee benefits	1,005,796	960,796
Short term employee benefits	7,785,306	6,405,306

34 Capital commitments

There are no material capital commitments outstanding as at the financial position date.

35 Events after the reporting period

No circumstances have arisen since the reporting date which would require adjustments to, or disclosure in the financial statements.

36 Contingent liabilities

There were no contingent liabilities as at the end of the reporting date other than guarantees given for loans amounted to Rs. 315,000/- (as at 31st March 2015 Rs.315,000/-)

37 Business segment information

The company comprises the following two business segments.

Segment	Products & Services
Manufacturing	Manufacturing and assembling of LG washing machines, refrigerators, cookers, freezers, Air conditioners & Solar PV System Installation.
Services	Installation, repair and maintenance, including after sales services, of electrical and household appliances sold by Abans PLC.

	Manufacturing		Services		Total	
	2015/2016 (Rs.)	2014/2015 (Rs.)	2015/2016 (Rs.)	2014/2015 (Rs.)	2015/2016 (Rs.)	2014/2015 (Rs.)
Business segment						
<u>Turnover and results</u>						
Revenue	2,685,804,168	2,007,650,312	821,005,073	723,960,794	3,506,809,241	2,731,611,106
Profit for the year	33,201,640	7,380,036	107,146,838	92,620,788	140,348,478	100,000,824
<u>Operating assets and liabilities</u>						
Segment operating assets	1,337,180,338	1,050,833,374	729,623,148	620,584,314	2,066,803,487	1,671,417,688
Segment operating liabilities	903,946,456	641,581,959	210,866,495	215,361,031	1,114,812,951	856,942,990
<u>Other information</u>						
Capital expenditure	37,696,918	45,203,558	62,825,618	153,021,935	100,522,536	198,225,493
Depreciation	45,362,864	45,929,257	20,230,257	18,139,692	65,593,121	64,068,949
Provision for retirement benefit obligation	385,074	9,314,123	21,960,373	13,549,218	22,345,447	22,863,341

Segment information is presented in respect of the company's business segments. Segment results, assets and liabilities include those items directly attributable to a segment.

Detailed Note to Note No. 20 - Cash and cash equivalent

	31.03.2016 Rs.	31.03.2015 Rs.
HSBC	941,086	-
Bank of Ceylon-Dividend Account (Kolpitty Branch)	37,142	638,556
Bank of Ceylon -Savings Account (Colombo 06)	967,384	2,989,807
Bank of Ceylon - Current Account (Corporate Branch)	335,544	835,544
Bank of Ceylon - Current Account (Colombo 03)	21,593	21,843
Bank of Ceylon - Current Account (Colombo 01)	849,367	2,617,686
Bank of Ceylon - Current Account (Corporate Branch)	608,998	629,498
Hatton National Bank - Current Account (Dehiwala Branch)	-	210,722
People's Bank - Current Account (Corporate Branch)	5,402,357	3,746,148
People's Bank - Current Account (Colombo 03)	204,808	204,808
People's Bank - Saving Account (Corporate Branch)	9,582,501	8,360,386
Seylan Bank - Current Account (Corporate Branch)	2,444,452	11,113,737
Seylan Bank - Current Account (Colombo 03)	334,666	858,124
Union Bank - - Current Account (Colombo 03)	7,841,561	10,683,270
Nations Trust Bank - Current Account (Colombo 06)	58,413	394,969
HSBC - Credit card	288,106	293,951
Abans show room payments	1,577,842	1,464,837
Cash in hand	1,386,745	32,202,425
	<u>32,882,564</u>	<u>77,266,311</u>

Risk Management Process provides vital information to support strategic planning and decision making on various matters set before the Board. The Board of Directors holds the ultimate responsibility for ensuring that risks are identified and managed appropriately whilst complying with regulatory requirements and are supported by the Audit Committee in this regard. Apart from that internal controls are established to ensure the company policies are properly adhered when implementing the risk management process. Change is a constant that all business deal with and company has sent in place a formal process and allocated resources to identify, measure, monitor and manage risks that may impact the performance of the company in the short, medium and long term.

The risk management policy is approved by the Board and is updated and reviewed regularly to reflect changes in economic and market conditions and details the processes, procedures and guidelines in place to identify and monitor and mitigate the Company's risk exposures. Regular training and awareness programmes nurtures a risk culture within the organization facilitating a clear understanding among employees of their roles and responsibilities in relation to risk management which varies from understanding of complex business risks at senior management level to an understanding of health and safety aspects at factory level.

The risks that the Company is exposed to and the mitigating actions that are in place are detailed below.

- **Economic Risk**

That means the potential loss of earnings arising from changes in macro - economic conditions including inflationary pressures, personal disposable income and exchange rate movements. We mitigate the same by regular monitoring of economic indicators and changes in consumer spending patterns which form an important input in determining the product range and sale plan for the year. Continuous focus on process efficiencies and productivity improvements is in place to mitigate increases in input costs.

- **Peoples Risk**

This includes the potential losses arising from human resource related aspects such as employee activity, lack of suitable human resources and noncompliance with employee related requirements. High caliber staff involved in operations - ensures the smooth operations with the standards. The Disaster Recovery Plan has been properly introduced to improve from small to larger expected risk. Frequent engagement with employees, prompt responses to employee grievances as well as complaints & attractive financial and non- financial remuneration are the risk mitigating actions taken by us.

- **Reputation Risk**

As an Electrical and Electronic Home Appliance Manufacture, the long term vision of the organization mainly focuses on the local value

addition for our target markets and always serves customers at their door step to attract and retain customer for life.

The maintenance of positive attitude towards our Stakeholders causes to lift the image at highest level. Proper identification of customer requirement, on time delivery, after sales services and resistant to other internal and external environmental changes help to adopt the organization to a comfortable business environment. Strict quality control measures and quality certification (ISO 9001:2008) is one of the risk mitigation actions and the comprehensive evaluation of customer feedback for further improvements. The consistent monitoring of environmental impact of our production process and end product are other risk mitigating actions that are being currently implemented. The improved production of domestic food supplies resulted in declining inflation favorably supported for the consumption on our products. As such we have reaped the utmost by way of our products and services accumulating gradual positive contributions to the customer satisfaction and loyalty. There are not apparent or foreseeable dangers to corporate image to report during the period. The success in many different projects and expanding our products to local value addition drew much attention in this year. The positive fiscal & economic policies towards the local value addition have created potential competitive markets for our products.

- **Supplier Risk**

That means the potential losses arising from procurement related issues including disruptions to supply and procurement of inferior quality raw material for production. We have developed relationships with diverse pool of international & local suppliers thereby limiting our concentration risk in order to minimize the potential losses arising from procurement related issues including disruptions to supply and procurement of inferior quality raw material for production. We have implemented stringent supplier evaluation criteria and regular supplier audits. And also we have provided for technical assistance to the Suppliers in order to ensure the procurement of high quality raw materials as to mitigate the risk of defects coming from them.

- **Asset Risk**

That consists of potential damages to the physical assets of the Company through destruction, loss, theft and /or possible technical defects. The defined procedures and highest safety standards are in place to control technical and other defects as a risk mitigating action. Frequent fire drills and fire training to staff as well as adequate provisions have been embedded for the health and safety in operations.

- **Financial Risk Management**

The brief discussion of Financial Risk Management has been given Note No. 31 of the Notes to the Financial Statments.

- **Legal Liability and Regulatory Compliance**

As a key factor to the corporate governance, the regulatory compliance is always being adhered. The regulatory compliances are widely spread within the organization, cross functional as well as at different levels. But, the majority lies within the operational level and proper positioning of the professionally competent and knowledgeable staff ensure its compliance. We are always proactive for potential deficiencies and setup compliance process to eliminate the possible threats. There were no major material legal liability or regulatory non compliances during the reporting period and company exposure to risk is at very low level.

Risk of changing the fiscal policy arises mainly from the changes on tax and duty structures applicable to the manufacture / sale of products. Fiscal policy changes during the year did not have a significant impact on company operations. Tax and duty increases during the year, on imports from budget 2016 has an impact on the pricing and affected the buying power of the customer.

Understand the needs of our Stakeholders is pivotal in setting our strategic directions and adding value to the stakeholders. Thus, continuous and productive stakeholders' engagement has always been a priority for the Company. The company maintains thoughts with all Stakeholders through formal and informal contrivances.

Visionary of any organization is to achieve continuous growth while maintaining long term existence and eluded treats and weaknesses are imperative. Thus the predictions on forthcoming opportunities, strengths, treats and weaknesses are based on past, present and forecasted future events of economic, political, social and technological environment. Pondering into internal and external environments for emerging opportunities and stable strengths is essential in our path to affirm sustainability.

Sustainable growth and value creation, adequate returns corresponding to the risk undertaken and strong corporate governance are the primary needs of Shareholders.

In order to provide better service to our Customer's whilst building relationships we have started new Service Centers Island wide to rectify breakdowns. And also comprehensive tests are conducted during and post production in order to ensure the quality and safety of all our products. Further, user manuals are provided with all products informing of the properties of the products and their conditions of use whilst instructions for usage are also given by the Sales Representative in the retail channels warning and safety labels are displayed where applicable.

We are focusing on engaging employees and creating a dynamic, team oriented workforce. Engagement is facilitated through formal and informal platforms. An open door policy is maintained by the Management Team for any employee grievances. We have offered attractive financial and non-financial remuneration which has allowed the Company to maintain a high level of retention. Performance Appraisals are carried out for all staff on an annual basis. We are dedicated towards Health and Safety for our employees and have in place a Health and Safety policy which details the standards, procedures and guidelines for maintaining a safe work environment & free of hazards and work related risks.

Our suppliers play a critical role in our sustainability and value creation process. The products that we manufacture require a wide range of inputs material, where quality and timely supply is crucial to ensure smooth function of operations in a very competitive market. It is imperative that we constantly engage with our Suppliers both foreign and local. The success of these efforts is evident in the number and diversity of Suppliers that we trade and the endurance of these long standing relationships. We intended to improve our value addition to our Suppliers by supporting their social and environmental sustainability.

Further, the increased energy efficiency of this technology is estimated to reduce energy consumption by around 40%. In 2015, we focused on improving our environmental performance, making substantial gains in energy efficiency, waste reduction, waste management and emission control. We are committed to conduct its business in an environmentally

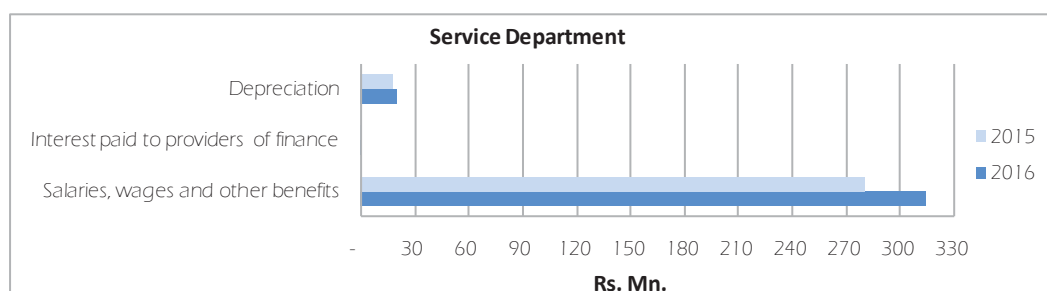
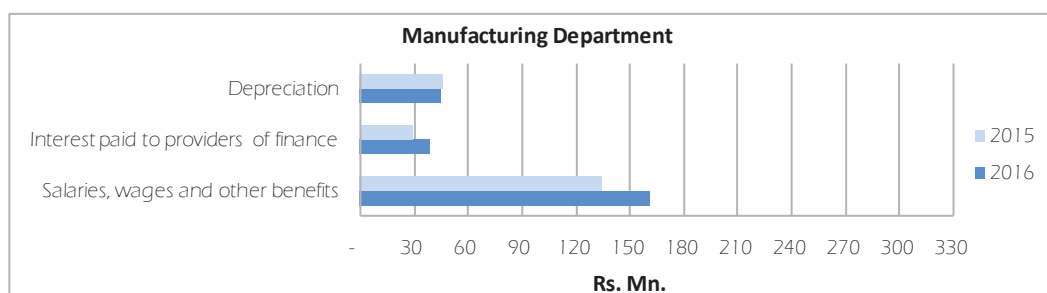
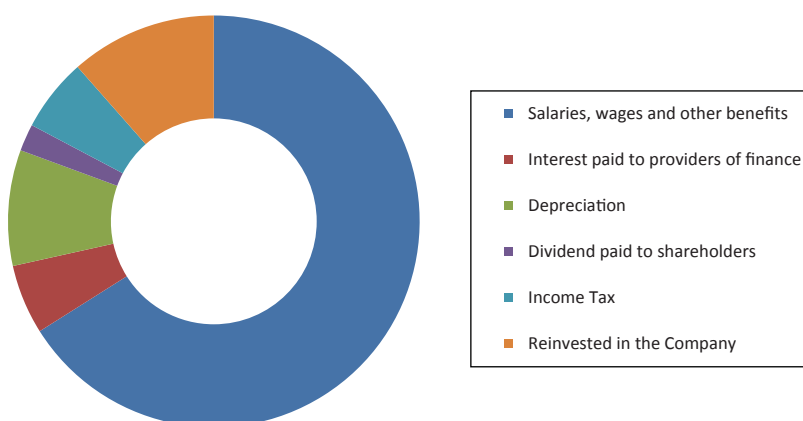
responsible and sustainable way. We place significant emphasis on reducing our environmental impact and continually improving our environmental performance. Abans Electricals PLC as yet most significant contribution to environment sustainability is the introduction of the R600a hydrocarbon based refrigerant which makes a revolutionary change in the Manufacture of Refrigerators in Sri Lanka. This gas does not result in global warming and has no impact on ozone depletion.

The strong relationship with financial institution and our integrity in financial transactions have established stronghold in long term, when need arose for finance without deny. Further company financial statements present the strength of our wealth and stable financial position. In addition strong supplier base with lengthy credit terms ease additional burdens on finance cost.

The opportunity to extend the operations thrives the Company to different future directions aligned with the vision and our continuous review to bring value addition with vertical integration will definitely assure the continuity of the Company.

Value Added Statement

	2016		2015		Rs '000	
	Manufacturing	Service	Manufacturing	Service	2016 Company	2015 Company
Value Created						
Turnover	2,685,804	821,005	2,007,650	723,960	3,506,809	2,731,610
Add : Other Income	24,218	16,072	36,481	19,220	40,290	55,701
Less: Cost of Materials & Services					2,825,805	2,182,335
					721,294	604,976
Value Distributed						
Salaries, wages and other benefits	161,734	314,600	135,004	281,058	476,334	416,062
Interest paid to providers of finance	39,174	353	29,218	937	39,527	30,155
Depreciation	45,363	20,235	45,929	18,143	65,598	64,072
	246,271	335,188	210,151	300,138		
Dividend paid to shareholders					15,332	12,776
Income Tax					41,525	6,257
Reinvested in the Company					82,978	75,654
					721,294	604,976



SUMMARY OF INCOME STATEMENTS

Rs.000'

	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016
	SLAS					SLFRS				
TURNOVER	1,928,861	1,911,064	2,069,059	2,419,975	3,785,305	2,546,450	2,892,338	3,205,812	2,731,611	3,506,809
Profit Before Interest & Taxation	93,361	98,676	96,747	205,643	298,995	129,490	244,865	194,703	131,116	180,957
Interest	(75,833)	(83,665)	(115,242)	(106,728)	(108,271)	(40,053)	(68,477)	(87,785)	(31,116)	(40,609)
Profit Before Taxation	17,529	15,011	(18,495)	98,915	190,724	89,437	176,388	106,918	100,000	140,348
Taxation	6,840	(7,609)	(9,597)	(31,353)	(73,736)	(27,046)	(48,086)	(6,593)	(6,256)	(41,525)
Other Comprehensive income						5,784	1,303	(6,053)	(5,314)	(513)
Profit After Taxation	24,370	7,402	(28,092)	67,562	116,988	68,175	129,605	94,272	88,430	98,310

SUMMARY OF BALANCE SHEET

	SLAS					SLFRS				
Non Current Assets	217,066	261,350	243,887	237,133	253,467	257,756	441,422	555,372	625,622	704,255
Current Assets	778,241	796,537	955,327	1,293,814	1,119,163	951,146	1,547,035	1,005,221	995,235	1,313,034
Total Assets	995,307	1,057,887	1,199,214	1,530,947	1,372,630	1,208,902	1,988,457	1,560,593	1,620,857	2,017,289
Share Holders' Funds	185,019	187,098	152,617	220,179	370,310	429,967	551,055	636,810	692,439	777,973
Non Current Liabilities	132,917	155,139	215,425	185,126	47,209	43,189	81,659	151,527	171,454	172,555
Current Liabilities	677,371	715,650	831,172	1,125,642	955,111	735,746	1,355,743	772,256	756,964	1,066,761
Total Equity & Liabilities	995,307	1,057,887	1,199,214	1,530,947	1,372,630	1,208,902	1,988,457	1,560,593	1,620,857	2,017,289
No of Shares (In' 000)	2,129.4	2,129.4	2,129.4	2,129.4	4,258.8	4,258.8	5,110.56	5,110.56	5,110.56	5,110.56

Ratios and Other Analysis	Units	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016
Dividend per Share	Rs.	2.50	3.00	-	3.40	2.00	2.00	2.00	2.50	2.50	3.00
Dividend Growth Rate		-	20.00%	-	-	(41.18%)	-	-	25.00%	-	20.00%
Dividend Cover	Times	4.58	1.16	-	9.33	13.74	7.33	12.56	7.85	7.34	6.45
Earnings per Share	Rs.	11.44	3.48	(13.19%)	31.73	27.47	14.65	25.11	19.63	18.34	19.34
Earnings Growth Rate		55.86%	(69.58%)	479.02%	340.56%	73.20%	(46.67%)	105.82%	(21.82%)	(6.57%)	5.45%
Return on Share Holder's Funds		13.17%	3.96%	(18.41%)	30.69%	31.59%	15.86%	23.52%	14.80%	12.77%	12.64%
Net Value per Share	Rs.	86.89	87.86	71.67	103.40	86.95	100.96	107.83	124.61	135.49	152.23
Market Value per Share	Rs.	91.50	81.75	64.00	144.75	258.10	158.00	89.60	99.20	105.70	111.10
Price Earnings Ratio	Times	8.00	23.49	(485.14)	4.56	9.40	10.78	3.57	5.05	5.76	5.74
Current Ratio	Times	1.15	1.11	1.15	1.15	1.17	1.29	1.14	1.30	1.31	1.23
Interest Cover	Times	1.23	1.18	0.84	1.93	2.76	3.23	3.58	2.22	4.21	4.46

* Under SLFRS

GENERAL

Stated Capital	Rs.186,732,000
No.of Shares	5,110,560
Voting Rights	One vote per Ordinary Share

STOCK EXCHANGE LISTING

This issued shares of the Company are listed with the Colombo Stock Exchange.

MARKET VALUE

The transacted value of an Ordinary Share of Abans Electricals PLC are as follows;

	2016 Rs.	2015 Rs.
Highest Price	143.90	126.90
Lowest Price	95.60	101.10
As at Balance Sheet Date	111.10	105.70

MARKET CAPITALISATION VALUE

The market capitalisation value of the Company as at 31st March 2016 is Rs 567,783,216/- (Rs 540,186,192/-, 2015)

DISTRIBUTION OF EQUITY AS AT 31ST MARCH 2016

Holdings	No. of Holders	Total Holdings	Percentage
1-1000 shares	1,215	196,426	3.85
1001-10,000 shares	196	578,727	11.32
10,001-100,000 shares	37	979,443	19.17
100,001-1,000,000 shares	5	1,160,785	22.71
Over 1,000,000 shares	1	2,195,179	42.95
Total	1,454	5,110,560	100.00

COMPOSITION OF SHAREHOLDINGS AS AT 31ST MARCH 2016

Category	No. of Holders	Total Holdings	Percentage
Individual	1,369	2,454,430	48.03
Institutional	85	2,656,130	51.97
Total	1,454	5,110,560	100.00

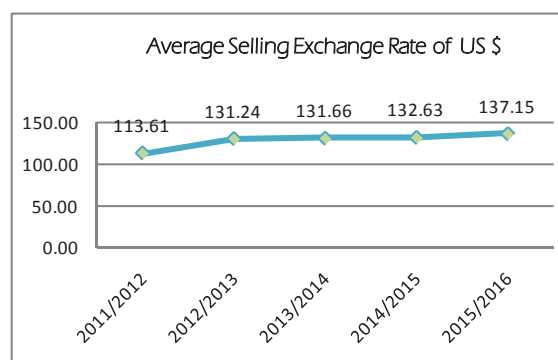
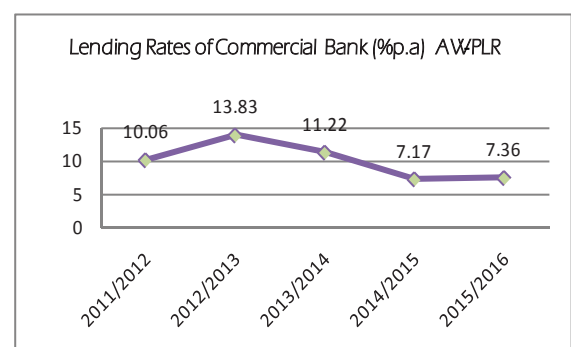
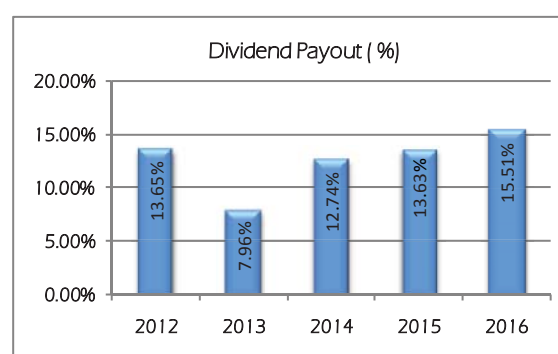
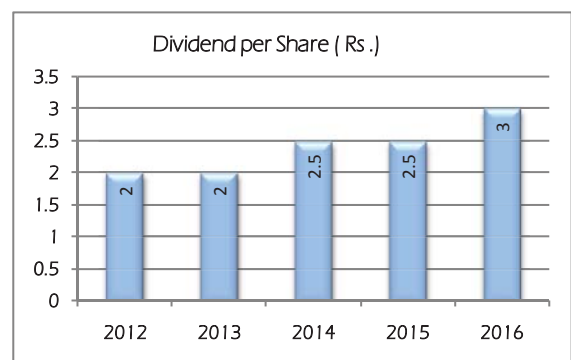
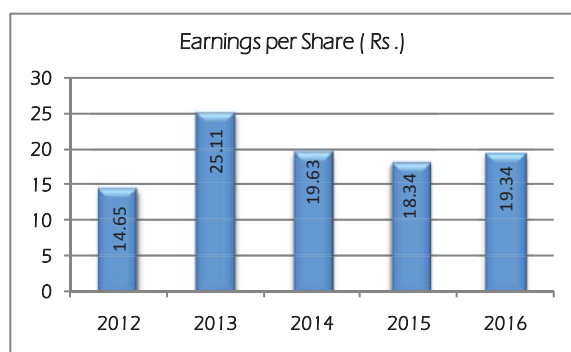
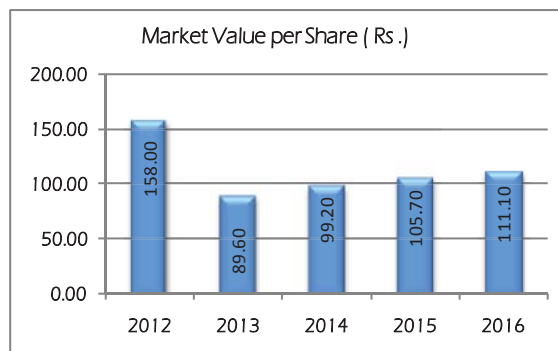
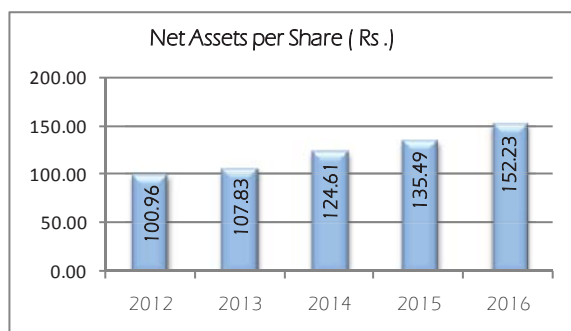
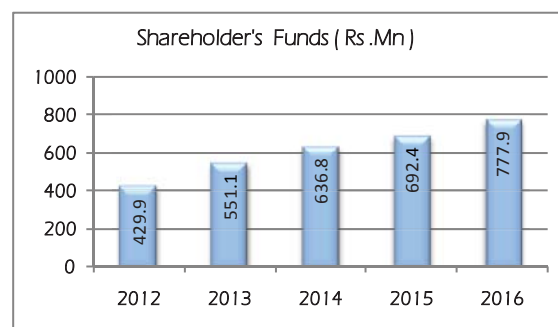
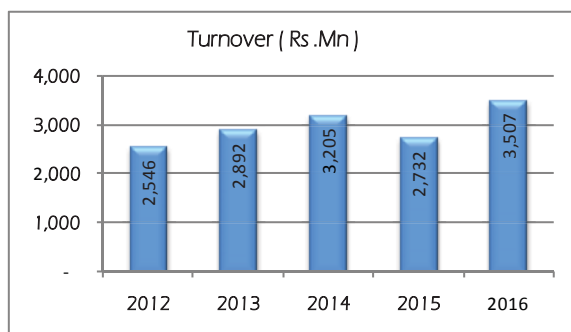
ANALYSIS OF SHAREHOLDERS AS AT 31ST MARCH 2016

Category	No. of Shareholders	Total Holding	Percentage
Resident	1,440	4,962,191	97.10
Non-Resident	14	148,369	2.90
Total	1,454	5,110,560	100

Public shareholding percentage as at 31st March 2016 was 37.69%

TWENTY MAJOR SHAREHOLDERS OF THE COMPANY

	As at 31.03.2016	As at 31.03.2015	Percentage
M/s.Abans PLC	2,195,179	2,195,179	42.95
Dr. Saroshi Dubash	295,820	295,820	5.79
Mrs. Aban Pestonjee	293,438	293,438	5.74
Mr. Rusi Pestonjee	226,872	232,372	4.44
Mr. P N Pestonjee	199,952	201,430	3.91
Mr. Behman Pestonjee	144,703	144,703	2.83
First Capital Markets Ltd/Mr. Behman Pestonjee	90	90	
Dr. K Poologasundram	72,076	72,076	1.41
Mr. A J M Jinadasa	53,000	41,960	1.04
Bank of Ceylon No 01 Account	51,957	17,880	1.02
Mr. G C Goonetilleke	44,000	43,920	0.86
Mrs. B S Rasanayagam	43,680	43,680	0.85
Seylan Bank PLC/ Mr C N Rajahmoney	43,188	-	0.85
People's Leasing & Finance PLC/ Hi Trading (Pvt) Ltd	42,827	5,000	0.84
Mr N R Selvadurai	40,000	-	0.78
Mr. A J Dubash	38,808	38,808	0.76
M/s.J B Cocoshell (Pvt) Ltd	37,765	63,162	0.74
Union Bank of Colombo PLC/ Mr. S. Abishek	33,017	-	1.01
Mr. S. Abishek	18,419	51,436	
M/s.Tranz Dominion, L.L.C.	31,611	31,005	0.62
Mr. R A Rishard	30,017	-	0.59
Mr. T L M Imtiaz	26,934	31,838	0.53
Others	1,147,207		22.45
Total	5,110,560		100.00



Notice is hereby given that the THIRTY FOURTH ANNUAL GENERAL MEETING of the Company will be held at Cinema Hall, BMICH, Baudhaloka Mawatha, Colombo 08 on 26th September 2016 at 3.30 p.m for the following purposes.

1. To receive and adopt the Report of the Directors, the Audited Statement of accounts of the Company for the year ended 31st March 2016 and Report of the Auditors thereon.
2. To declare a first and final dividend of Rs. 3.00 per share for the year ended 31st March 2016 as recommended by the Directors.
3. To re-elect Dr. (Mrs.) Saroshi Dubash, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The directors recommend the re-election of Dr. (Mrs.) Saroshi Dubash as a Director of the Company.
4. To re-elect Mr. Behman Pestonjee, a Director of the Company who retires by rotation in terms of Article 89 of the Articles of Association of the Company. The directors recommend the re-election of Mr. Behman Pestonjee as a Director of the Company.
5. To re-elect Mrs. Aban Psetonjee, Chairperson of the company who being over seventy years of age retires in accordance with Section 210 of the Companies Act No.07 of 2007. A notice has been received from a shareholder of the intention to move a resolution in compliance with Section 211 of the Companies Act (Refer to Note I below in Page No. 48). The Directors recommend the re-election of Mrs. Aban Pestonjee as a Director of the Company.
6. To re-appoint M/S SJMS Associates, auditors and to authorize the directors to determine their remuneration.

By order of the Board
Sgd.
Varners International (Private) Limited
Secretaries
Colombo.

01st August 2016

Notes;

1. A Notice was received from a shareholder of the Company giving notice of the intention to move the following as Ordinary Resolution at the forth coming Annual General Meeting of the Company with regard to the re-election of Mrs. Aban Pestonjee who retires at the Above General Meeting.

“RESOLVED that Mrs. Aban Pestonjee who is over seventy years of age be and is hereby re-elected as a Director of the Company and it is further specifically declared that the age limit of seventy years referred to in the section 210 of the Companies Act No. 07 of 2007 shall not apply to the said Mrs. Aban Pestonjee”
2. A member entitled to attend and vote at the meeting, is entitled to appoint a proxy to attend and vote on behalf of his/her and Form of Proxy is attach (page 50) to this Report for this purpose. A Proxy need not to be a member of the Company.
3. The instrument appointing a proxy is required to be deposited at the Registered Office of the Company at No.498, Galle Road, Colombo 03 or at the Office of the Secretaries at Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01 not less than forty eight hours before the time fixed for the meeting.
4. A Form of Attendance is included in this report. Shareholders are requested to complete it and hand it over when attending the meeting.
5. For reasons of security, it is essential that you bring with you, your National Identity Card.

Form of Attendance

I /We* hereby record my/our* presence at the THIRTY - FOURTH ANNUAL GENERAL MEETING of Abans Electricals PLC on the 26th September 2016 at 3.30 p.m. at Cinema Hall, BMICH, Baudhaloka Mawatha, Colombo 08.

(1) Full Name of Shareholder					
(2) Share Certificate Number					
(3) National Identity Card Number					
(4) Address					
(5) Name of Proxy holder (if applicable)					
(6) National Identity Card Number of Proxy holder					
(7) Address of Proxy holder					
(8) Number of Shares held		CDS		Non CDS	

* Please delete what is inapplicable

.....
Signature of Shareholder

.....
Date

- Note
- (i) Shareholders are requested to bring this Form of Attendance when attending the meeting and hand it over at the entrance to the meeting hall.
 - (ii) Shareholders appointing proxies (other than Directors of the Company) to attend the Meeting are requested to indicate the National Identity Card number of the Proxy holder on the Form of Proxy and request the Proxy holder to bring along his / her National Identity Card.

I/We * being a shareholder / shareholders of Abans Electricals PLC., hereby appoint;

.....

Mrs. Aban Pestonjee of Colombo or failing her

Prof. Lakshman R. Watawala of Colombo or failing him

Dr.(Mrs) Saroshi Dubash..... of Colombo or failing her

Mr. Behman Pestonjee of Colombo or failing him

Mr. Allen Raffel of Colombo or failing him

Mr. Clive Fernando of Colombo or failing him

Mrs. Dayangani Priyanthi Pieris of Colombo or failing her

..... of

(National Identity Card Number.....) as my/our proxy to represent me/us on my/our behalf at the Thirty Fourth Annual General Meeting of the Company to be held on 26th September 2016 and at any adjournment thereof and at every poll which may be taken in consequence thereof.

Signed this day of 2016

Signature

Witness

01. If you cannot attend the Annual General Meeting and would wish one of the Directors or any other person to represent you, kindly perfect the Form of Proxy by filling in legibly your full name and address signing in the space provided and filling in the date of signature.
02. If the Form of Proxy is signed by an attorney, the relative power of attorney should accompany the Form of Proxy for registration if such power of attorney has not already been registered with the Company.
03. A Limited Liability or Corporate Shareholder should execute this proxy under its common seal or by its authorized attorney.
04. The completed Form of Proxy should be deposited at the Company's office, No. 498, Galle Road, Colombo 03, or at the Office of the Secretaries at Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01, at least 48 hours before the time appointed for the holding of the Meeting.

Corporate Information

NAME OF THE COMPANY	Abans Electricals PLC.
LEGAL FORM	Public Quoted Company
COMPANY INCORPORATION	Incorporated in Sri Lanka under the Companies Ordinance No. 51 of 1938 (Chapter 145 of the Legislative Enactment of Sri Lanka 1956 Revised Edition) as a Private Liability Company on the 25th of November 1981.
REGISTRATION NO	PQ 188 (Former Registration No.PVS 7974) The company was re-registered in accordance with Companies Act No. 7 of 2007 on 18th August 2008.
STOCK EXCHANGE LISTING	Ordinary Shares of the Company were listed with Colombo Stock Exchange on 7th March 1983.
REGISTERED OFFICE	No.498, Galle Road, Colombo 03.
WEB SITE	www.abansgroup.com
DIRECTORATE	Mrs. A. Pestonjee (Chairperson) Dr. (Mrs) S. Dubash Mr. B. Pestonjee Mr. A. Raffel Mr. C. A. Fernando Prof. Lakshman R. Watawala Mrs. D.P. Pieris
BANKERS	Hatton National Bank PLC People's Bank Bank of Ceylon Sampath Bank PLC Hongkong and Shanghai Banking Corporation Limited Seylan Bank PLC Union Bank
LAWYERS	Varners Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
AUDITORS	SJMS Associates Chartered Accountants No.2, Castle Lane, Colombo 04.
SECRETARIES	Varners International (Pvt) Ltd Level 14, West Tower, World Trade Centre, Echelon Square, Colombo 01.
E-MAIL ADDRESS	fmael@abansgroup.com
TELEPHONE NO	011-2632721 / 011-4205024
FAX NO	011-2635157

ABANS ELECTRICALS PLC

NO.498, GALLE ROAD, COLOMBO 03.

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